FOR THE PERSON PLAYING THE INTERVIEWER

You don't need to know anything about consulting.

This binder gives you everything a real interviewer has: what to say, what information to hand over and when, what a good answer sounds like, and how to score it. Your partner does the thinking. You hold the facts and keep the clock.

What a case interview is, in 30 seconds

Consulting firms test candidates with a short business puzzle, called a **case**. You read out a client's problem, for example "a hot dog stand is losing money, why?". The candidate has to ask good questions, organize the problem, do some math out loud, and end with a clear recommendation. It's a test of **how they think**, not of business trivia.

Your job, in one line each

- **Read** the blue *Say* lines out loud, word for word if you like.
- **Answer** questions using the *If they ask* tables. Anything not on the list: "Not important for this case, make an assumption."
- **Hold back** the yellow *Give* boxes until the moment described. Never volunteer data early.
- **Tick** the *Listen for* boxes as you hear them. That is your evidence for scoring.
- **Never show** the green *Answer key*. It's for you to check the candidate's numbers.
- **Score** at the end with the rubric, then give feedback: 2 strengths, 2 things to fix.

The colors in every case

SAY

Words you read out loud.

GIVE ONLY WHEN…

Data you hand over (read it, or show this box) only when the trigger happens.

ANSWER KEY, DON'T SHOW

The right numbers and what a strong answer contains.

IF THEY'RE STUCK

Hints in order. Give one, wait 30 seconds, then the next.

HOW TO STEER

What the casebook says to do at this point, e.g. "after their framework, tell them the problem is only internal." Follow it so the case goes where it should.

FULL LIST · ASK IF THIN · IF THEY SAY…

A complete checklist to tick (so you see exactly what they missed), follow-up questions to dig deeper when an answer is short, and replies to common mistakes. Use probes before hints: probes make them think, hints give the answer away.

ADDED PARTLY ADDED mark steps, data and answers that go beyond the original case. A line under the step says exactly what was added.

Before you start (2 minutes)

- [ ] Pick a case you haven't read with them. Start with an **Easy** one.
- [ ] Read the case once to yourself, start to finish (about 5 minutes).
- [ ] Give the candidate paper, a pen and a calculator-free zone (no phone calculator; real interviews don't allow one).
- [ ] Sit across a table. Start a timer. Aim for 20–25 minutes per case.
- [ ] Keep a straight, friendly face. Real interviewers don't react much.

THE SIX STAGES

Every case follows the same shape

Each case script below walks you through these stages. Knowing the shape helps you notice when the candidate skips one.

1 You read the prompt

Read slowly. A good candidate writes it down and then repeats it back in their own words. If they don't, tick it as missed.

2 They ask clarifying questions

Usually 2–4 questions: about the goal, the client, the market. Answer from the *If they ask* table. More than ~6 questions is too many.

3 They build a framework

They'll ask for a minute or two of silence. Say "Sure, take your time." Then they explain how they'll break the problem into parts (for example "revenue" and "costs"). Compare with the Answer key.

4 Analysis and math

They ask for data, or estimate it themselves. You give the yellow boxes. They calculate out loud. You check against the Answer key.

5 Insight: "so what?"

After each number, a strong candidate says what it means for the client. If they don't, ask: "What does that mean for the client?"

6 Recommendation

You say the closing line. They should give the answer **first**, then 2–3 reasons, then risks and next steps. Under a minute.

Timing guide for a 25-minute case

Stage	Target	If it runs long
Prompt + questions	2–3 min	"Let's get going. What's your approach?"
Framework	2–4 min	"Which part would you look at first?"
Analysis and math	10–15 min	Give the next hint from the script.

Recommendation	1–2 min	"In one sentence: yes or no?"
Your feedback	5 min	Rubric + 2 strengths, 2 fixes.

Golden rules

1. Make them ask

Data comes out only when they ask for it, or when the script says "give if their estimate is way off". Asking for the right data is part of the test.

2. Let them estimate first

Many cases are **candidate-led**: they should make up reasonable numbers first. Only give the real number if theirs is far off (each script says what "far off" means), or if they ask directly.

3. Don't confirm too fast

When they get a number right, say "Okay, keep going." When it's wrong, say "Can you double-check that?" Never tell them the right number until they've tried twice.

4. Silence is fine

When they ask for time, give it: real interviewers wait. Only speak up after about 60 seconds of total silence.

5. Push back once

Once per case, ask "Why?" or "Are you sure?" even when they're right. It tests whether they stay calm and can defend their logic.

6. Hints in order

If they're stuck, use the red hint boxes one at a time. Every hint you give costs a point on "Drive" in the rubric. Note how many you gave.

Phrase bank

They ask for time to think	"Sure, take a minute."
They ask something not in your script	"Good question, but it's not important here. Make a reasonable assumption."
They ask "Is that right?"	"What do you think?" or "Walk me through how you got there."
They're silent for a long time	"Can you walk me through what you're thinking?"
They ramble or go off-track	"Let's focus. What do you need to answer the client's question?"
They finish a calculation and stop	"So what does that mean for the client?"
They made a math mistake	"Can you double-check that last step?"

They ask you to just give the number	"What would you estimate?" (Give it if the script says so.)
Time is running out	"The CEO just walked in. What's your recommendation?"

USE THIS FOR EVERY CASE

Scoring rubric

How these cases' skills map to the rubric

Each question in these cases tests one skill: **Structuring** → Structure. **Numeracy / Math** → Math. **Judgement and insights** → Business sense. **Creativity** → Business sense and Drive. **Synthesis** → Communication.

Score each area from 1 to 5. A 3 means "would probably pass at a first-round interview". Use the ticks from the case script as evidence. Be honest: a generous score doesn't help them.

Area	1–2: Weak	3: Pass	4–5: Strong
Structure	Jumps into numbers with no plan. Framework is a generic list or misses big pieces.	Clear framework with 2–4 parts that fit the case. Some overlap or gaps.	Framework is tailored to this client, has no overlaps or gaps, and is explained in under 2 minutes. Says which part to look at first and why.
Math	Wrong answers, messy, silent working, or needs a calculator.	Correct with maybe one slip they fix themselves. Talks through steps.	Fast, correct, clean units (per day, per year, $M). Rounds sensibly and announces each step out loud.
Business sense	Reports numbers without meaning. Misses the key insight even after hints.	Explains what numbers mean when asked. Finds the insight with one hint.	Says "so what" on their own, sanity-checks results ("that seems high because..."), spots the key insight unprompted.
Communication	Hard to follow, rambles, recommendation is vague or missing.	Clear enough. Recommendation exists but is buried or long.	Answer-first, organized ("three reasons: first..."), confident, under a minute to close.
Drive	Waits for you to lead. Needed 3+ hints.	Mostly leads. Needed 1–2 hints.	Leads the whole case, asks for the right data at the right time, suggests next steps. No hints needed.

Reading the total (out of 25)

- **21–25**: Offer-level. Move to harder cases.
- **16–20**: Solid. Fix the lowest area.
- **11–15**: Getting there. Redo this case type in a few days.
- **5–10**: Practice the basics: frameworks and mental math.

How to give feedback (5 minutes)

1. Ask them first: "How do you think that went?"
2. Share **2 things they did well**, with specific moments ("you compared LaMode's 4.2% Asia target with its 3% share at home").
3. Share **2 things to fix**, again specific ("you didn't say what $48 vs. $42 meant for the deal").
4. Read them the total score and their lowest area.

PLAIN-ENGLISH GLOSSARY

Words the candidate will use

You don't need to use these. It just helps to know what they mean when you hear them.

Framework / structure	Their plan for breaking the problem into parts.
MECE	"Mutually exclusive, collectively exhaustive": parts that don't overlap and together cover everything. Interviewers love it.
Revenue	Money coming in. Usually price × quantity sold.
Costs: fixed vs. variable	Fixed costs don't change with sales (rent). Variable costs grow with each unit sold (food in each hot dog).
Profit	Revenue minus costs.
Profit margin	Profit as a % of revenue. $10 profit on $100 revenue = 10% margin.
COGS	"Cost of goods sold": what it costs to make the product itself.
Payback period	Years needed to earn back an investment. Investment ÷ yearly profit.
Breakeven	The point where revenue exactly covers costs (profit = 0).
Market sizing	Estimating how big a market is, e.g. "how much is spent on diapers per year".
Market share	The % of a market one company holds.
Market entry	A case about whether a company should start selling in a new market.
Barriers to entry	Things that make it hard to enter a market: licenses, laws, big competitors.
Cross-selling	Selling a second product to an existing customer.

Sanity check	Asking "does this number make sense?" before moving on.
Price elasticity	How much customers buy less when the price goes up.
"So what?"	What a number means for the client's decision.

PICK ONE

The cases

Read the script once on your own before you begin. Each takes 15–25 minutes plus 5 minutes of feedback.

FlashFash

Mergers & acquisitions · Medium · ~30 min

Roko Hotel

Profitability · Easy · ~25 min

Fruit Nation

Market entry · Medium · ~30 min

Singapore Taxis

Market sizing · Hard · ~25 min

Canadian Wildlife Federation

Non-profit strategy · Medium · ~30 min

Clean-All

Growth strategy · Easy · ~30 min

A-EYE

Pricing · Medium · ~30 min

CASE 1 OF 7

FlashFash

Mergers & acquisitions | Medium | ~30 min

WHAT THIS CASE IS ABOUT (READ THIS YOURSELF)

A big US clothing company (FlashFash, $25B revenue, mid-market brands, very fast production) is thinking about buying LaMode, a fast-growing online seller of luxury fashion. The candidate structures the decision, tests whether LaMode's Asia growth plan is realistic, judges the synergies from a data exhibit, brainstorms growth ideas, and makes a recommendation.

THE ANSWER IN ONE LINE, DON'T SHOW

Don't acquire LaMode. Its Asia plan needs **~4.2%** of the Asia online apparel market (above its 3% at home); synergies are **weak**: LaMode's customers are far more premium ($413 vs. $78 per purchase), FlashFash already sells more online ($5B+ vs. $2B), and LaMode's $48 transaction cost exceeds FlashFash's $42 margin per purchase. Only real synergy: helping LaMode expand internationally. Next: scan for other targets with a strong presence in Asia.

1 Read the prompt

2–3 min

SAY

"Our client is FlashFash, a US multinational apparel company with $25 billion of revenue. The company owns some of the best-known mid-market brands. It sells 70% of its products through its own stores, and 30% through multi-brand retail chains."

"FlashFash has a unique business model: instead of committing a large share of production for the next fashion season, it commits a small amount, and uses customer feedback and an efficient production network to replenish stores with new products weekly. New styles take as little as 15 days to go from design to production."

"As part of its growth strategy, FlashFash is considering acquiring LaMode, the leading independent online retailer of luxury brands, with 3% of all online apparel sales in North America. LaMode curates products from the best brands into a unique collection of over 30,000 items. It recently launched its own fashion brand, which already accounts for 5% of its revenue."

"The CEO of FlashFash has asked us: should they acquire LaMode?"

"Do you have any questions before you start?"

IF THEY ASK… YOU ANSWER

What's the client's objective?	"To accelerate the growth of FlashFash, in a way that creates value for its shareholders."
Is there a price for LaMode? ADDED	"Not yet. First we need to decide whether it's worth pursuing."
What does mid-market mean here? ADDED	"Affordable everyday fashion, between discount and premium."
How fast does the CEO need an answer? ADDED	"A first view within a few weeks."
Is LaMode profitable? ADDED	"We'll look at its economics shortly."
Anything else	"Not important for this case. Make an assumption."

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Plays back: $25B mid-market apparel company, fast model, considering an online luxury retailer
- [ ] Asks for the objective (growth that creates shareholder value)
- [ ] Notes the contrast: mid-market vs. luxury, stores vs. online

▼ Show example answer

EXAMPLE ANSWER, SAID OUT LOUD

> **Let me make sure I understand.** FlashFash is a $25 billion mid-market apparel company, mostly selling through its own stores, with a very fast, demand-driven production model. It's considering buying LaMode, the leading independent online luxury retailer, with 3% of North American online apparel sales and a young own brand. **The question is whether to acquire it.** Could I ask: **what's the client's objective** with this deal? And is there a price yet? **Could I take a minute to structure my thoughts?**

2 Framework

3 min

SAY

"How would you structure your approach to the problem?"

HOW TO STEER

- Original case: if asked, or if the candidate goes off-track, share that the client's goal is to accelerate the growth of FlashFash in a way that creates value for its shareholders.
- This is an interviewer-led case: after the framework, you lead to each question in order.

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Value and growth potential of LaMode on its own
- [ ] Whether FlashFash can use LaMode to boost sales and cut costs (synergies)
- [ ] Whether FlashFash can execute the deal and integration

FULL LIST FROM THE ORIGINAL CASE: TICK WHAT THEY COVERED

- [ ] Value & growth: growth of the online apparel market
- [ ] Value & growth: LaMode's market share
- [ ] Value & growth: LaMode's costs
- [ ] Revenue synergies
- [ ] Cost synergies
- [ ] FlashFash's capability to execute

ASK IF THEIR ANSWER IS THIN

- "How would you know if LaMode is worth buying on its own?"
- "What could FlashFash bring to LaMode, and LaMode to FlashFash?"
- "Even if it's a good deal, could FlashFash pull it off?"

IF THEY SAY… YOU SAY

Only talks about LaMode's market	"What about how the two companies would work together?"

ANSWER KEY, DON'T SHOW

1. Value and growth potential of LaMode: growth of online apparel, LaMode's market share, costs. **2. Can FlashFash use LaMode to boost sales and reduce costs?** Revenue synergies, cost synergies. **3. Does FlashFash have the capability to execute?**

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "What would make LaMode a good acquisition?"
2. "Think about LaMode alone, then the two together."

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Restate the decision
2. Bucket 1: LaMode's value and growth alone
3. Bucket 2: synergies, revenue and cost
4. Bucket 3: ability to execute
5. Check in

Phrases to listen for: "To decide whether to acquire LaMode, I'd look at three areas." · "Does that sound good?"

EXAMPLE ANSWER, SAID OUT LOUD

> **To decide whether to acquire LaMode, I'd look at three areas.** **First, LaMode's value and growth potential on its own**: how fast online apparel is growing, LaMode's market share, and its cost structure. **Second, whether FlashFash can use LaMode to boost sales and reduce costs**: revenue synergies, like cross-selling or international expansion, and cost synergies, like sourcing and fulfillment. **Third, whether FlashFash can execute**: integrating an online luxury business is very different from running mid-market stores. **Does that sound good?**

▼ **Book's 8-bucket version also counts**

If the candidate uses the 8 buckets from *Hacking the Case Interview*, this is a strong version. Credit it like the casebook's framework.

Market attractiveness

- Online apparel growth (global, Asia)
- Luxury vs. mid-market trends

Financial considerations

- LaMode's growth (31%) and cost structure
- Is the Asia plan realistic?
- Price vs. value created

Synergies

- Revenue: international expansion, cross-selling
- Cost: fulfillment, sourcing, own-brand COGS

Company capabilities

- Can FlashFash run online luxury?
- Integration risk

Very close to the case's 3 buckets: the book's Synergies bucket is the case's middle bucket. Add 'customers: luxury vs. mid-market' as a sub-bullet, because that's what kills cross-selling.

3 Asia market share

4–5 min

SAY

"The client believes LaMode could make a third of its global sales in Asia within five years, as the apparel market in Asia is expected to double and the share of purchases made online to triple over this period."

"What share of the Asia online apparel market would LaMode need to reach to capture this opportunity?"

HOW TO STEER

- Original case: let the candidate ask for the data below, but share it even if they don't ask.

GIVE ONLY WHEN: WHEN THEY ASK, OR AFTER THEY LAY OUT THEIR APPROACH.

- LaMode's global sales are **$2B**, and are expected to **triple** over the next 5 years
- The online apparel market in Asia today is **$8B**

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Sets up the formula first: LaMode Asia sales in 5 years ÷ Asia online market in 5 years
- [ ] LaMode Asia sales = (3 × $2B) ÷ 3 = $2B
- [ ] Asia online market = $8B × 2 × 3 = $48B
- [ ] Share = $2B ÷ $48B ≈ 4.2%

IF THEY SAY… YOU SAY

Uses today's $8B market	"What happens to the Asia online market over the five years?"
Grows the market ×2 or ×3, not both	"Both the total market and the online share are changing."
Uses $6B for Asia sales	"Is that LaMode's global sales, or its Asia sales?"

ANSWER KEY, DON'T SHOW

```
Share in 5 yrs = LaMode Asia sales ÷ Asia online market
LaMode Asia sales = (3 × $2B) ÷ 3 = $2B
Asia online market = $8B × 2 × 3 = $48B
Share = $2B ÷ $48B ≈ 4.2%
```

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "What two numbers do you need to divide?"
2. "What will LaMode's global sales be in five years, and what's a third of that?"

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Write the formula in words first
2. Numerator: LaMode's Asia sales in 5 years
3. Denominator: Asia online market in 5 years (×2 × ×3)
4. Divide and state the share

Phrases to listen for: "Let me set up the formula first." · "The market grows six times: it doubles, and the online share triples."

EXAMPLE ANSWER, SAID OUT LOUD

> **Let me set up the formula first.** LaMode's share in five years equals its Asia sales in five years, divided by the Asia online apparel market in five years. LaMode's global sales triple from $2 billion to $6 billion, and a third of that is Asia, so **$2 billion**. The Asia online market is $8 billion today; the total market doubles and the online share triples, so it grows six times, to **$48 billion**. **$2 billion divided by $48 billion is about 4.2%.**

4 Sanity check PARTLY ADDED

2 min

Beyond the original case: The comparison with LaMode's 3% is in the case's answer; asking it as its own question is added.

SAY

"What do you make of that number?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Compares with LaMode's 3% share in North America, its core market where it's well established
- [ ] Calls the 4.2% target extremely ambitious
- [ ] Draws the implication: the Asia plan doesn't justify the acquisition

ANSWER KEY, DON'T SHOW

The client's expectations imply LaMode would capture 4.2% of the Asia online apparel market in 5 years. That's extremely ambitious, given its share of its core market, where it is well established, is just 3%. At this stage it doesn't look like FlashFash should acquire LaMode on the basis of its Asia growth plans.

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "How does 4.2% compare with LaMode's share at home?"

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Verdict first
2. Benchmark: 3% at home
3. So what for the deal

Phrases to listen for: "It looks extremely ambitious." · "So what: the Asia plan on its own doesn't justify the acquisition."

EXAMPLE ANSWER, SAID OUT LOUD

> **It looks extremely ambitious.** LaMode holds 3% of online apparel in North America, its core market, where it's well established. **The plan asks it to reach a higher share, 4.2%, in a market where it has zero sales today.** **So what:** the Asia growth plan on its own doesn't justify the acquisition.

5 Synergies

5–6 min

SAY

"The client would like you to look at synergies. We've compiled this exhibit with information about both our client and the target."

"Let me know your thoughts on whether there are potential synergies that seem appealing, based on this information."

HOW TO STEER

- If asked, share that transaction costs include the cost of order fulfillment, customer service, payment processing and returns.
- Give them a minute to read the exhibit in silence before they talk.

GIVE ONLY WHEN: RIGHT AWAY (EXHIBIT 1).

Exhibit 1.

Global sales, $M	FlashFash	LaMode
Total	25,400	2,014
North America	9,500	1,802
Europe	8,600	212
Asia	5,000	0
Rest of world	2,300	0
Annual growth	4.2%	31.3%
Online presence	**FlashFash**	**LaMode**
% sales online	22%	100%
Transactions	**FlashFash**	**LaMode**
Average purchase	$78	$413
Cost of goods sold	46%	72%
Transaction cost	$6	$48
Own brand, $M	**FlashFash**	**LaMode**
Total sales	25,400	104
Cost of goods sold	11,684	63
Annual growth	4.2%	123.4%

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Walks the exhibit table by table, not at random
- [ ] International: FlashFash's experience outside North America could accelerate LaMode abroad
- [ ] Online: FlashFash already sells more online in dollars than LaMode
- [ ] Customers: LaMode is far more premium (5× average purchase), so little cross-selling
- [ ] Distribution: LaMode's transaction cost is above FlashFash's margin per purchase
- [ ] Own brand: FlashFash could help LaMode's COGS, but it's a small cost

FULL LIST FROM THE ORIGINAL CASE: TICK WHAT THEY COVERED

- [ ] Use FlashFash's international experience to accelerate LaMode abroad
- [ ] FlashFash sells more online than LaMode in absolute terms (22% × $25B ≈ $5B > $2B): no online expertise to gain
- [ ] LaMode is much more premium (average purchase ~5× higher): limited cross-selling
- [ ] LaMode can't distribute FlashFash profitably: $48 transaction cost > $42 margin
- [ ] FlashFash might cut LaMode's own-brand COGS, but it's a small category

ASK IF THEIR ANSWER IS THIN

- "Which company sells more online, in dollars?"
- "How different are their customers?"
- "Could LaMode sell FlashFash's products profitably?"
- "Where is LaMode present, and where is FlashFash?"

IF THEY SAY… YOU SAY

"LaMode brings online expertise"	"Compare their online sales in dollars, not percentages."
"They can cross-sell to each other's customers"	"Look at the average purchase. Are these the same shoppers?"

ANSWER KEY, DON'T SHOW

- International: FlashFash's experience outside North America could accelerate LaMode's international growth.
- Online: FlashFash already sells more online than LaMode (22% × $25B ≈ $5B > $2B), so it gains no online expertise.
- Customers: LaMode is clearly more premium (average purchase 5× higher), so cross-selling is limited.
- Distribution: LaMode can't distribute FlashFash profitably: its $48 transaction cost is above the $42 margin on a FlashFash purchase.
- Own brand: FlashFash might lower LaMode's own-brand COGS, but it's a small cost category.

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "Take the exhibit one table at a time."
2. "Start with where each company sells."

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Say you'll go table by table
2. For each table: the fact, then what it means
3. Name the one real synergy
4. Overall verdict

Phrases to listen for: "Let me go through the exhibit table by table." · "That's the one real synergy."

EXAMPLE ANSWER, SAID OUT LOUD

> **Let me go through the exhibit table by table.** **Geography**: FlashFash sells $16 billion outside North America while LaMode sells almost nothing there, so **FlashFash could accelerate LaMode's international growth**. That's the one real synergy. **Online**: 22% of $25 billion is about $5 billion, more than LaMode's $2 billion, so **FlashFash has no online expertise to gain**. **Customers**: LaMode's average purchase is $413 versus $78, **about five times higher**, so these are different shoppers and cross-selling is limited. **Distribution**: LaMode's transaction cost is $48, more than FlashFash's roughly $42 margin per purchase, so **LaMode can't sell FlashFash products profitably**. **Own brand**: FlashFash could lower LaMode's own-brand costs, but that's only about $100 million of sales.

6 Online expertise PARTLY ADDED

2 min

Beyond the original case: The 22% × $25B math is in the case's answer; asking it as its own question is added.

SAY

"Let's test one claim. Some argue FlashFash would gain online expertise from LaMode. How much does each company sell online today?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] FlashFash: 22% × $25.4B ≈ $5.6B (the case rounds to $5B)
- [ ] LaMode: 100% × ~$2B = $2B
- [ ] FlashFash already sells 2.5–3× more online: no expertise to gain

ANSWER KEY, DON'T SHOW

```
FlashFash: 22% × $25.4B ≈ $5.6B online
LaMode: 100% × $2.0B = $2.0B online
```

FlashFash already has the bigger online business, so online know-how isn't a reason to buy.

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "What percent of FlashFash's sales are online?"

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. FlashFash online $ = share × total
2. LaMode online $
3. Compare and conclude

Phrases to listen for: "So FlashFash already has the bigger online business."

EXAMPLE ANSWER, SAID OUT LOUD

> FlashFash sells 22% of $25.4 billion online, **about $5.6 billion**. LaMode is 100% online, **about $2 billion**. **So FlashFash already has the bigger online business**, almost three times LaMode's, and online know-how isn't a reason to buy.

7 Distribution economics PARTLY ADDED

2–3 min

Beyond the original case: The $48 vs. $42 math is in the case's answer; asking it as its own question is added.

SAY

"Could LaMode sell FlashFash products profitably on its site? What margin does FlashFash make on an average purchase?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Margin = (100% − 46%) × $78 ≈ $42
- [ ] LaMode's transaction cost is $48 per order
- [ ] $48 > $42: LaMode would lose ~$6 on every FlashFash order
- [ ] Explains what transaction costs include if they asked

IF THEY SAY… YOU SAY

Uses FlashFash's $6 transaction cost	"Whose platform would the sale happen on?"

ANSWER KEY, DON'T SHOW

```
FlashFash margin = (100% − 46%) × $78 ≈ $42
LaMode transaction cost = $48 → loss of ~$6 per order
```

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "What's left of $78 after 46% cost of goods?"
2. "What does it cost LaMode to process one order?"

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. FlashFash margin per purchase
2. LaMode cost per order
3. Compare: profit or loss per order
4. Conclude

Phrases to listen for: "LaMode would lose about $6 on every FlashFash order."

EXAMPLE ANSWER, SAID OUT LOUD

> A FlashFash purchase averages $78, with 46% cost of goods, so the **margin is about $42**. LaMode spends **$48 to process an order**: fulfillment, service, payment and returns. **So LaMode would lose about $6 on every FlashFash order**; it can't distribute FlashFash profitably.

8 Synergy verdict

1–2 min

SAY

"So overall, how strong is the case for synergies?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Weak overall
- [ ] Little cross-selling: very different customers
- [ ] No online expertise to gain
- [ ] The only meaningful synergy: LaMode's international expansion
- [ ] Concludes LaMode isn't a good target

ANSWER KEY, DON'T SHOW

Overall this is a weak case for synergies. There's little opportunity to cross-sell given the different customers, and FlashFash has no online expertise to gain. The only meaningful synergy is LaMode's international expansion. This confirms LaMode isn't a good acquisition target for us.

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Verdict first: weak
2. Three reasons
3. The one exception
4. Link back to the decision

Phrases to listen for: "Overall, the case for synergies is weak." · "That confirms LaMode isn't a good target for us."

EXAMPLE ANSWER, SAID OUT LOUD

> **Overall, the case for synergies is weak.** The customers are too different to cross-sell, FlashFash has no online expertise to gain, and LaMode can't distribute FlashFash's products profitably. **The only meaningful synergy is helping LaMode expand internationally.** **That confirms LaMode isn't a good target for us.**

9 Organic growth

4 min

SAY

"Beyond potential synergies with FlashFash, what ideas do you have to accelerate the organic growth of LaMode?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Structured, e.g. products / channels / customers / geographies
- [ ] Several ideas in each group
- [ ] Uses what we know: own brand growing 123%, no presence in Asia

FULL LIST FROM THE ORIGINAL CASE: TICK WHAT THEY COVERED

- [ ] New product types: jewelry
- [ ] New product types: cosmetics
- [ ] New product types: sports gear
- [ ] New product types: furniture
- [ ] New product types: data
- [ ] Sell offline: own stores
- [ ] Sell offline: independent stores
- [ ] Sell indirectly: to other brands
- [ ] Sell indirectly: to third-party distributors
- [ ] Other segments: mid-market
- [ ] Geographies: Asia-Pacific
- [ ] Geographies: Europe
- [ ] Geographies: Latin America
- [ ] Geographies: Middle East and Africa

ASK IF THEIR ANSWER IS THIN

- "What else could LaMode sell besides clothes?"
- "Does LaMode have to stay online only?"
- "Which regions is LaMode missing?"

ANSWER KEY, DON'T SHOW

1. Other product types: jewelry, cosmetics, sports gear, furniture, data. **2. Selling offline**: own stores, independent stores. **3. Selling indirectly**: to other brands, to third-party distributors. **4. Other segments**: mid-market. **5. Other geographies**: Asia-Pacific, Europe, Latin America, Middle East and Africa. Overall, many opportunities to grow LaMode beyond its current scope.

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "Think about what LaMode sells, how, to whom, and where."

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Announce the structure: what, how, to whom, where
2. 2–4 ideas per branch
3. Use facts from the exhibit (own brand growth, no Asia)
4. Wrap up

Phrases to listen for: "I'd think about growth along four dimensions: what, how, to whom, and where."

EXAMPLE ANSWER, SAID OUT LOUD

> **I'd think about growth along four dimensions: what LaMode sells, how, to whom, and where.** **What**: new categories such as jewelry, cosmetics, sports gear and furniture, and even monetizing its customer data, and keep pushing the own brand, which is growing over 100% a year. **How**: offline, through its own stores or independent stores, and indirectly, selling to other brands or third-party distributors. **To whom**: a mid-market line. **Where**: Asia-Pacific, Europe, Latin America, and the Middle East and Africa. **Overall, there's a lot of room to grow LaMode beyond its current scope.**

10 Recommendation

1–2 min

SAY

"Overall, what would you recommend to the client?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Answer first: LaMode isn't the best acquisition target
- [ ] Brands don't fit LaMode's (luxury) positioning
- [ ] LaMode can't sell FlashFash products profitably
- [ ] The Asia target implies ~4% of the market, above its 3% at home
- [ ] Next step: scan the market for alternative targets, ideally strong in Asia

ANSWER KEY, DON'T SHOW

"You asked us whether FlashFash should acquire LaMode. In our view, it isn't the best acquisition target: your brands aren't a good fit with LaMode's positioning; LaMode's economics mean it couldn't sell FlashFash's products profitably; and its five-year target implies capturing 4% of the Asia online apparel market, above its share of its core US market. Over the next two weeks, we'd like to scan the market for alternative targets, ideally with a strong presence in Asia."

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Restate the question and answer it first
2. Three reasons with numbers
3. Next steps

Phrases to listen for: "You asked whether FlashFash should acquire LaMode. In our view..." · "Over the next two weeks, we'd like to..."

EXAMPLE ANSWER, SAID OUT LOUD

> **You asked whether FlashFash should acquire LaMode. In our view, it isn't the best acquisition target, for three reasons.** One, **your brands don't fit LaMode's luxury positioning**, so there's little to cross-sell. Two, **LaMode's economics mean it couldn't sell your products profitably**: its $48 cost per order is above your $42 margin. Three, **its five-year plan implies capturing over 4% of the Asia online apparel market**, more than its 3% share at home. **Over the next two weeks**, we'd like to scan the market for alternative targets, ideally with a strong presence in Asia.

▼ Show the full sample interview

INTERVIEWER

"Our client is FlashFash, a US multinational apparel company with $25 billion of revenue. The company owns some of the best-known mid-market brands. It sells 70% of its products through its own stores, and 30% through multi-brand retail chains."

"FlashFash has a unique business model: instead of committing a large share of production for the next fashion season, it commits a small amount, and uses customer feedback and an

efficient production network to replenish stores with new products weekly. New styles take as little as 15 days to go from design to production."

"As part of its growth strategy, FlashFash is considering acquiring LaMode, the leading independent online retailer of luxury brands, with 3% of all online apparel sales in North America. LaMode curates products from the best brands into a unique collection of over 30,000 items. It recently launched its own fashion brand, which already accounts for 5% of its revenue."

"The CEO of FlashFash has asked us: should they acquire LaMode?"

> CANDIDATE
>
> **Let me make sure I understand.** FlashFash is a $25 billion mid-market apparel company, mostly selling through its own stores, with a very fast, demand-driven production model. It's considering buying LaMode, the leading independent online luxury retailer, with 3% of North American online apparel sales and a young own brand. **The question is whether to acquire it.** Could I ask: **what's the client's objective** with this deal? And is there a price yet? **Could I take a minute to structure my thoughts?**

INTERVIEWER · FRAMEWORK

"How would you structure your approach to the problem?"

> CANDIDATE
>
> **To decide whether to acquire LaMode, I'd look at three areas.** **First, LaMode's value and growth potential on its own**: how fast online apparel is growing, LaMode's market share, and its cost structure. **Second, whether FlashFash can use LaMode to boost sales and reduce costs**: revenue synergies, like cross-selling or international expansion, and cost synergies, like sourcing and fulfillment. **Third, whether FlashFash can execute**: integrating an online luxury business is very different from running mid-market stores. **Does that sound good?**

INTERVIEWER · ASIA MARKET SHARE

"The client believes LaMode could make a third of its global sales in Asia within five years, as the apparel market in Asia is expected to double and the share of purchases made online to triple over this period."

"What share of the Asia online apparel market would LaMode need to reach to capture this opportunity?"

- LaMode's global sales are **$2B**, and are expected to **triple** over the next 5 years
- The online apparel market in Asia today is **$8B**

> CANDIDATE

Let me set up the formula first. LaMode's share in five years equals its Asia sales in five years, divided by the Asia online apparel market in five years. LaMode's global sales triple from $2 billion to $6 billion, and a third of that is Asia, so **$2 billion**. The Asia online market is $8 billion today; the total market doubles and the online share triples, so it grows six times, to **$48 billion**. **$2 billion divided by $48 billion is about 4.2%.**

INTERVIEWER · SANITY CHECK

"What do you make of that number?"

CANDIDATE

It looks extremely ambitious. LaMode holds 3% of online apparel in North America, its core market, where it's well established. **The plan asks it to reach a higher share, 4.2%, in a market where it has zero sales today.** **So what:** the Asia growth plan on its own doesn't justify the acquisition.

INTERVIEWER · SYNERGIES

"The client would like you to look at synergies. We've compiled this exhibit with information about both our client and the target."

"Let me know your thoughts on whether there are potential synergies that seem appealing, based on this information."

Exhibit 1.

Global sales, $M	**FlashFash**	**LaMode**
Total	25,400	2,014
North America	9,500	1,802
Europe	8,600	212
Asia	5,000	0
Rest of world	2,300	0
Annual growth	4.2%	31.3%
Online presence	**FlashFash**	**LaMode**
% sales online	22%	100%
Transactions	**FlashFash**	**LaMode**
Average purchase	$78	$413
Cost of goods sold	46%	72%
Transaction cost	$6	$48

Own brand, $M	FlashFash	LaMode
Total sales	25,400	104
Cost of goods sold	11,684	63
Annual growth	4.2%	123.4%

CANDIDATE

Let me go through the exhibit table by table. **Geography**: FlashFash sells $16 billion outside North America while LaMode sells almost nothing there, so **FlashFash could accelerate LaMode's international growth**. That's the one real synergy. **Online**: 22% of $25 billion is about $5 billion, more than LaMode's $2 billion, so **FlashFash has no online expertise to gain**. **Customers**: LaMode's average purchase is $413 versus $78, **about five times higher**, so these are different shoppers and cross-selling is limited. **Distribution**: LaMode's transaction cost is $48, more than FlashFash's roughly $42 margin per purchase, so **LaMode can't sell FlashFash products profitably**. **Own brand**: FlashFash could lower LaMode's own-brand costs, but that's only about $100 million of sales.

INTERVIEWER · ONLINE EXPERTISE

"Let's test one claim. Some argue FlashFash would gain online expertise from LaMode. How much does each company sell online today?"

CANDIDATE

FlashFash sells 22% of $25.4 billion online, **about $5.6 billion**. LaMode is 100% online, **about $2 billion**. **So FlashFash already has the bigger online business**, almost three times LaMode's, and online know-how isn't a reason to buy.

INTERVIEWER · DISTRIBUTION ECONOMICS

"Could LaMode sell FlashFash products profitably on its site? What margin does FlashFash make on an average purchase?"

CANDIDATE

A FlashFash purchase averages $78, with 46% cost of goods, so the **margin is about $42**. LaMode spends **$48 to process an order**: fulfillment, service, payment and returns. **So LaMode would lose about $6 on every FlashFash order**; it can't distribute FlashFash profitably.

INTERVIEWER · SYNERGY VERDICT

"So overall, how strong is the case for synergies?"

CANDIDATE

Overall, the case for synergies is weak. The customers are too different to cross-sell, FlashFash has no online expertise to gain, and LaMode can't distribute FlashFash's products profitably. **The only meaningful synergy is helping LaMode expand internationally.** **That confirms LaMode isn't a good target for us.**

INTERVIEWER · ORGANIC GROWTH

"Beyond potential synergies with FlashFash, what ideas do you have to accelerate the organic growth of LaMode?"

CANDIDATE

I'd think about growth along four dimensions: what LaMode sells, how, to whom, and where. **What**: new categories such as jewelry, cosmetics, sports gear and furniture, and even monetizing its customer data, and keep pushing the own brand, which is growing over 100% a year. **How**: offline, through its own stores or independent stores, and indirectly, selling to other brands or third-party distributors. **To whom**: a mid-market line. **Where**: Asia-Pacific, Europe, Latin America, and the Middle East and Africa. **Overall, there's a lot of room to grow LaMode beyond its current scope.**

INTERVIEWER · RECOMMENDATION

"Overall, what would you recommend to the client?"

CANDIDATE

You asked whether FlashFash should acquire LaMode. In our view, it isn't the best acquisition target, for three reasons. One, **your brands don't fit LaMode's luxury positioning**, so there's little to cross-sell. Two, **LaMode's economics mean it couldn't sell your products profitably**: its $48 cost per order is above your $42 margin. Three, **its five-year plan implies capturing over 4% of the Asia online apparel market**, more than its 3% share at home. **Over the next two weeks**, we'd like to scan the market for alternative targets, ideally with a strong presence in Asia.

Score this case

Use the ticks above and the rubric. 3 = would pass.

Structure 1 2 3 4 5

Clear, tailored framework?

Math 1 2 3 4 5

Correct, clean, said out loud?

Business sense 1 2 3 4 5

Found the insight, said "so what"?

Communication 1 2 3 4 5

Answer-first, clear, confident?

Drive 1 2 3 4 5

Led the case; few hints needed?

Total: — / 25

2 STRENGTHS · 2 THINGS TO FIX

Strength: ... / Fix: ...

CASE 2 OF 7

Roko Hotel

Profitability | Easy | ~25 min

WHAT THIS CASE IS ABOUT (READ THIS YOURSELF)

A small family-owned hotel near Paris is less profitable than last year. The candidate builds a revenue/cost structure, calculates this year's and last year's room revenue from two exhibits, finds that weekend bookings collapsed, explains why, and suggests fixes and new revenue streams.

THE ANSWER IN ONE LINE, DON'T SHOW

Room revenue fell from **~$850k to $728k** (−$120k) because **weekend occupancy roughly halved** (standard 100% → 60%, premium 80% → 40%); weekdays are unchanged and premium rooms are full on weekdays. Fix: raise premium weekday prices, win back weekends (packages, weddings), add new revenue streams, then check costs.

1 Read the prompt

2–3 min

SAY

"Your client is Roko Hotel, a family-owned, independent hotel in suburban Paris. Until last year, the hotel maintained strong profitability, but it's now facing declining profitability and the owners don't understand why."

"The hotel is in the suburbs, a 20-minute tram ride from the city center, and isn't part of a chain."

"The owners have asked you to help identify the reasons for the decline and recommend how to turn the situation around."

"Do you have any questions before you start?"

IF THEY ASK… YOU ANSWER

How big is the hotel?	"The hotel has 30 rooms."
How big is the decline? ADDED	"We don't have the exact figure yet; that's part of what we need to find."
What's the owners' goal? ADDED	"Get back to last year's profitability."
Who stays at the hotel? ADDED	"A mix of guests; we'll look at the data shortly."
Anything else	"Not important for this case. Make an assumption."

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Plays back: independent suburban Paris hotel, profitability fell this year
- [ ] Asks how many rooms (30)
- [ ] Asks for the goal

▼ Show example answer

EXAMPLE ANSWER, SAID OUT LOUD

> **Let me make sure I understand.** Roko is an independent, family-owned hotel in suburban Paris, 20 minutes from the center by tram. It was strongly profitable until last year, profitability has dropped, and **the owners want to know why and how to fix it**. Could I ask how many rooms it has, and whether we know how big the drop is? **Could I take a moment to structure my thoughts?**

2 Framework

2–3 min

SAY

"How would you structure your approach to the question?"

HOW TO STEER

- Original case: a good structure uses a revenue/cost framework tailored to the situation. It's unnecessary to include a driver for solutions; they'll come naturally from the root causes.

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Revenue: rooms × utilization × price × operating days
- [ ] Other revenue: food and beverages, additional services
- [ ] Fixed costs: salaries, building maintenance, insurance and taxes
- [ ] Variable costs: utilities, food and beverages, booking fees

FULL LIST FROM THE ORIGINAL CASE: TICK WHAT THEY COVERED

- [ ] Revenue: number of rooms
- [ ] Revenue: average utilization (%)
- [ ] Revenue: price per room
- [ ] Revenue: operating days
- [ ] Other revenue: food & beverages
- [ ] Other revenue: additional services
- [ ] Fixed: salaries
- [ ] Fixed: building maintenance
- [ ] Fixed: insurance & taxes
- [ ] Variable: utility costs
- [ ] Variable: food & beverages
- [ ] Variable: booking fees

ASK IF THEIR ANSWER IS THIN

- "How exactly would you calculate room revenue?"
- "Which costs change with the number of guests?"

IF THEY SAY… YOU SAY

Lists generic buckets (customers, competitors…)	"How would you tailor that to a 30-room hotel's profit?"

ANSWER KEY, DON'T SHOW

1. Revenue factors: [rooms] × [average utilization] × [price per room] × [operating days]; other revenue: F&B, additional services. **2. Cost factors**: fixed (salaries, building maintenance, insurance & taxes) and variable (utilities, F&B, booking fees).

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "What drives a hotel's room revenue?"
2. "Split costs into fixed and variable."

▼ **Show example answer**

HOW A STRONG ANSWER IS STRUCTURED

1. Name the case type: profitability
2. Revenue formula, then other revenue
3. Costs: fixed vs. variable
4. Say where you'd start, then check in

Phrases to listen for: "Room revenue is rooms × utilization × price × days." · "I'd start with room revenue."

EXAMPLE ANSWER, SAID OUT LOUD

> **Since this is a profitability decline, I'd look at revenue and costs.** **On revenue**: room revenue is the number of rooms, times average utilization, times price per room, times operating days; then other revenue like food and beverages and additional services. **On costs**: fixed costs such as salaries, building maintenance, insurance and taxes; and variable costs such as utilities, food and beverages, and booking fees. **I'd start with room revenue**, since it's likely the biggest driver. **Does that sound good?**

▼ **Book's 8-bucket version also counts**

If the candidate uses the 8 buckets from *Hacking the Case Interview*, this is a strong version. Credit it like the casebook's framework.

Financial considerations (revenue)

- Rooms × utilization × price × days
- Weekday vs. weekend, standard vs. premium
- F&B and other services

Financial considerations (costs)

- Fixed: salaries, maintenance, insurance
- Variable: utilities, F&B, booking fees

Customer segmentation & needs

- Business travelers (weekdays) vs. tourists (weekends)

Competitive landscape

- New hotels, Airbnb, chains' prices

The case wants a tailored revenue/cost tree. The book's Customer and Competition buckets help later, to explain why weekends collapsed.

3 This year's revenue

5 min

SAY

"Here's this year's data. Based on this exhibit, what's the annual revenue for this hotel?"

GIVE ONLY WHEN: RIGHT AWAY (EXHIBIT 1).

Exhibit 1. Prices and utilization this year

Room type	# rooms	Price
Standard	25	$100
Premium	5	$140

Average utilization	Weekdays	Weekends
Standard	60%	60%
Premium	100%	40%

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Standard rooms per week: 25 × 60% × 5 + 25 × 60% × 2 = 75 + 30 = 105
- [ ] Premium rooms per week: 5 × 100% × 5 + 5 × 40% × 2 = 25 + 4 = 29
- [ ] Weekly revenue: 105 × $100 + 29 × $140 = $14,560
- [ ] Annual: × 50 weeks ≈ $728,000
- [ ] Insight: premium rooms are full on weekdays (room to raise prices); weak demand for standard rooms and premium weekends
- [ ] Next step: compare with last year

IF THEY SAY… YOU SAY

Uses 7 nights at one rate	"Is utilization the same every night of the week?"
Uses 52 weeks	"Fine. The case uses 50 weeks; either is OK if you say why."

ANSWER KEY, DON'T SHOW

```
Standard: 25×60%×5 + 25×60%×2 = 75 + 30 = 105 rooms/week
Premium: 5×100%×5 + 5×40%×2 = 25 + 4 = 29 rooms/week
Weekly: 105×$100 + 29×$140 = $10,500 + $4,060 = $14,560
Annual: $14,560 × 50 weeks = $728,000
```

Premium rooms are at capacity during the week: an opportunity to raise their price or add more. Standard rooms, and premium on weekends, lack demand.

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "Work out rooms filled per week, weekdays and weekends separately."
2. "Then multiply by the price of each room type."

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Rooms filled per week, by type, weekdays and weekends
2. × price = weekly revenue
3. × 50 weeks
4. One insight from the data
5. Next step

Phrases to listen for: "Let me work out rooms filled per week, weekdays and weekends separately." · "One insight already:..."

EXAMPLE ANSWER, SAID OUT LOUD

> **Let me work out rooms filled per week, weekdays and weekends separately.** Standard: 25 rooms at 60%, so 15 a night; 75 on weekdays and 30 on weekends, **105 a week**. Premium: 5 rooms, full on 5 weekdays, so 25, plus 40% on 2 weekend nights, 4: **29 a week**. Weekly revenue is 105 times $100 plus 29 times $140, **$14,560**, and over 50 weeks, **about $728,000 a year**. **One insight already**: premium rooms are full on weekdays, so there may be room to raise their price. **Next, I'd compare with last year.**

4 Last year's revenue

4 min

SAY

"Based on the additional data in Exhibit 2 on last year's performance, what insights can you draw about recent changes in annual revenue?"

HOW TO STEER

- Original case: strong candidates identify shortcuts for the calculation, and adjust their previous calculation for the weekend utilization only.

GIVE ONLY WHEN: RIGHT AWAY (EXHIBIT 2). IF ASKED: PRICES HAVE NOT CHANGED YEAR TO YEAR.

Exhibit 2. Utilization last year

Average utilization	Weekdays	Weekends
Standard	60%	100%
Premium	100%	80%

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Weekday occupancy unchanged; weekend occupancy dropped sharply
- [ ] Standard: 125 rooms a week → $10,500 × 125/105 ≈ $12,500
- [ ] Premium: 33 rooms a week → $4,060 × 33/29 ≈ $4,600
- [ ] Annual ≈ $17,100 × 50 ≈ $850,000: about $120,000 more than this year
- [ ] Driver: weekend utilization nearly halved

IF THEY SAY… YOU SAY

Recomputes everything from scratch	"Fine, but what changed vs. this year? Could you just adjust that part?"

ANSWER KEY, DON'T SHOW

```
Standard last year: 25×60%×5 + 25×100%×2 = 125 rooms → $12,500/week
Premium last year: 5×100%×5 + 5×80%×2 = 33 rooms → ~$4,600/week
Annual ≈ $17,100 × 50 ≈ $850,000 vs. $728,000 → ~$120,000 less this year
```

Weekday occupancy is constant; weekend utilization fell by nearly half.

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "Which numbers in Exhibit 2 differ from Exhibit 1?"

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Spot what changed (weekends only)
2. Adjust just that part: the shortcut
3. Annual figure and the gap
4. Name the driver

Phrases to listen for: "Weekdays haven't changed; only weekends have, so I'll just adjust those." · "So the decline is driven by weekend utilization."

EXAMPLE ANSWER, SAID OUT LOUD

> **Weekdays haven't changed; only weekends have, so I'll just adjust those.** Standard weekends were 100% instead of 60%, so 125 rooms a week instead of 105: about **$12,500** a week. Premium weekends were 80% instead of 40%, so 33 instead of 29: about **$4,600**. That's about $17,100 a week, **roughly $850,000 a year, about $120,000 more than this year**. **So the decline is driven by weekend utilization, which nearly halved.**

5 Why weekends dropped PARTLY ADDED

3 min

Beyond the original case: The reasons are the case's own; asking them as a separate question is added.

SAY

"Why do you think weekend utilization fell so much?"

HOW TO STEER

- Original case: push candidates to suggest reasons for the change in utilization.

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Structures reasons: competition/supply, customer demand, our own marketing
- [ ] Several concrete reasons in each
- [ ] Links weekdays (business travelers, stable) vs. weekends (tourists, falling)

FULL LIST FROM THE ORIGINAL CASE: TICK WHAT THEY COVERED

- [ ] Competition: new hotels opening nearby
- [ ] Competition: more alternatives such as Airbnb
- [ ] Competition: other hotels cutting prices
- [ ] Demand: fewer weekend tourists in Paris (other destinations, attractions closing)
- [ ] Demand: fewer weekend breaks in France, longer long-haul holidays
- [ ] Demand: price-sensitive weekend tourists more loyal to hotel chains
- [ ] Our side: changes in our marketing and distribution to tourists

ASK IF THEIR ANSWER IS THIN

- "Who stays on weekends versus weekdays?"
- "Could something have changed on our side?"

ANSWER KEY, DON'T SHOW

More competition/supply: new hotels nearby, Airbnb, rivals cutting prices. **Lower customer demand**: fewer weekend tourists in Paris, fewer weekend breaks, price-sensitive tourists loyal to chains. **Our own marketing and distribution** to tourists may have changed.

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Three groups: competition, demand, our own actions
2. 2–3 reasons each
3. Link to the weekday/weekend split

Phrases to listen for: "I'd group possible reasons into three areas." · "This looks like a tourist problem."

EXAMPLE ANSWER, SAID OUT LOUD

> **I'd group possible reasons into three areas.** **More competition**: new hotels nearby, Airbnb, or rivals cutting prices. **Lower demand**: fewer weekend tourists coming to Paris, people taking fewer weekend breaks, or price-sensitive tourists choosing hotel chains. **Our own side**: changes in how we market and distribute to tourists. **The weekday business is stable, so this looks like a tourist problem.**

6 New revenue streams

3 min

SAY

"Besides rooms, food and drinks, what revenue streams could the hotel introduce or grow?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Splits guests vs. non-guests
- [ ] Several ideas in each

FULL LIST FROM THE ORIGINAL CASE: TICK WHAT THEY COVERED

- [ ] Guests: airport pick-up
- [ ] Guests: commission on entertainment sales (city tours, shows)
- [ ] Guests: dry cleaning
- [ ] Guests: premium internet access
- [ ] Guests: spa treatments
- [ ] Non-guests: meeting rooms
- [ ] Non-guests: events (weddings, conferences)
- [ ] Non-guests: restaurant
- [ ] Non-guests: gym (paid for non-guests)
- [ ] Non-guests: business working space (by day or week)

ASK IF THEIR ANSWER IS THIN

- "What could people who don't stay at the hotel pay for?"

ANSWER KEY, DON'T SHOW

For guests: airport pick-up, commission on tours and shows, dry cleaning, premium internet, spa.
For non-guests: meeting rooms, events such as weddings and conferences, restaurant, paid gym, business working space.

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Split by who pays: guests / non-guests
2. 4–5 ideas each

Phrases to listen for: "I'd split ideas by who pays."

EXAMPLE ANSWER, SAID OUT LOUD

> I'd split ideas by who pays. Guests: airport pick-up, commission on city tours and shows, dry cleaning, premium internet, spa treatments. Non-guests: meeting rooms, events like weddings and conferences, the restaurant, a paid gym, and business working space by the day or week.

7 Recommendation

1–2 min

SAY

"What recommendation would you put forward to Roko Hotel to increase profitability?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Restates the question
- [ ] Diagnosis: weekend utilization fell; revenue ~$730k vs. ~$850k
- [ ] Possible causes: competition, demand, our marketing
- [ ] Short and long-term actions: raise premium weekday prices; win back weekends (packages, weddings); new revenue streams
- [ ] Next step: analyze costs too

ANSWER KEY, DON'T SHOW

"We were asked to diagnose Roko Hotel's profit challenge and suggest how to turn it around. A drop in weekend utilization of both premium and standard rooms drove the decline: revenue is ~$730,000 this year vs. ~$850,000 last year, possibly due to more competition, lower demand, or changes in our marketing. I propose: maximize revenue from weekday business travelers by raising the premium room price; get weekends back on track with weekend packages or events like weddings; and explore other revenue streams for guests and non-guests. As next steps, we should analyze costs to see if they've also contributed."

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Restate the question
2. Diagnosis with numbers
3. Three actions
4. Next step: costs

Phrases to listen for: "We were asked why... and how to turn it around." · "As a next step, we should analyze costs."

EXAMPLE ANSWER, SAID OUT LOUD

> **We were asked why Roko's profitability fell and how to turn it around.** The main driver is weekend occupancy, which nearly halved for both room types: revenue is about $730,000 this year against $850,000 last year, likely due to more competition, lower tourist demand, or our marketing. **I recommend three actions**: raise premium prices on weekdays, when those rooms are full; win back weekends with packages and events like weddings; and add new revenue streams for guests and non-guests. **As a next step**, we should analyze costs to see if they've also contributed.

▼ Show the full sample interview

INTERVIEWER

"Your client is Roko Hotel, a family-owned, independent hotel in suburban Paris. Until last year, the hotel maintained strong profitability, but it's now facing declining profitability and the owners don't understand why."

"The hotel is in the suburbs, a 20-minute tram ride from the city center, and isn't part of a chain."

"The owners have asked you to help identify the reasons for the decline and recommend how to turn the situation around."

> CANDIDATE
>
> **Let me make sure I understand.** Roko is an independent, family-owned hotel in suburban Paris, 20 minutes from the center by tram. It was strongly profitable until last year, profitability has dropped, and **the owners want to know why and how to fix it**. Could I ask how many rooms it has, and whether we know how big the drop is? **Could I take a moment to structure my thoughts?**

INTERVIEWER · FRAMEWORK

"How would you structure your approach to the question?"

> CANDIDATE

Since this is a profitability decline, I'd look at revenue and costs. **On revenue**: room revenue is the number of rooms, times average utilization, times price per room, times operating days; then other revenue like food and beverages and additional services. **On costs**: fixed costs such as salaries, building maintenance, insurance and taxes; and variable costs such as utilities, food and beverages, and booking fees. **I'd start with room revenue**, since it's likely the biggest driver. **Does that sound good?**

INTERVIEWER · THIS YEAR'S REVENUE

"Here's this year's data. Based on this exhibit, what's the annual revenue for this hotel?"

Exhibit 1. Prices and utilization this year

Room type	# rooms	Price
Standard	25	$100
Premium	5	$140

Average utilization	Weekdays	Weekends
Standard	60%	60%
Premium	100%	40%

CANDIDATE

Let me work out rooms filled per week, weekdays and weekends separately. Standard: 25 rooms at 60%, so 15 a night; 75 on weekdays and 30 on weekends, **105 a week**. Premium: 5 rooms, full on 5 weekdays, so 25, plus 40% on 2 weekend nights, 4: **29 a week**. Weekly revenue is 105 times $100 plus 29 times $140, **$14,560**, and over 50 weeks, **about $728,000 a year**. **One insight already**: premium rooms are full on weekdays, so there may be room to raise their price. **Next, I'd compare with last year.**

INTERVIEWER · LAST YEAR'S REVENUE

"Based on the additional data in Exhibit 2 on last year's performance, what insights can you draw about recent changes in annual revenue?"

Exhibit 2. Utilization last year

Average utilization	Weekdays	Weekends
Standard	60%	100%
Premium	100%	80%

CANDIDATE

Weekdays haven't changed; only weekends have, so I'll just adjust those. Standard weekends were 100% instead of 60%, so 125 rooms a week instead of 105: about

$12,500 a week. Premium weekends were 80% instead of 40%, so 33 instead of 29: about **$4,600**. That's about $17,100 a week, **roughly $850,000 a year, about $120,000 more than this year**. **So the decline is driven by weekend utilization, which nearly halved.**

INTERVIEWER · WHY WEEKENDS DROPPED

"Why do you think weekend utilization fell so much?"

CANDIDATE

I'd group possible reasons into three areas. **More competition**: new hotels nearby, Airbnb, or rivals cutting prices. **Lower demand**: fewer weekend tourists coming to Paris, people taking fewer weekend breaks, or price-sensitive tourists choosing hotel chains. **Our own side**: changes in how we market and distribute to tourists. **The weekday business is stable, so this looks like a tourist problem.**

INTERVIEWER · NEW REVENUE STREAMS

"Besides rooms, food and drinks, what revenue streams could the hotel introduce or grow?"

CANDIDATE

I'd split ideas by who pays. **Guests**: airport pick-up, commission on city tours and shows, dry cleaning, premium internet, spa treatments. **Non-guests**: meeting rooms, events like weddings and conferences, the restaurant, a paid gym, and business working space by the day or week.

INTERVIEWER · RECOMMENDATION

"What recommendation would you put forward to Roko Hotel to increase profitability?"

CANDIDATE

We were asked why Roko's profitability fell and how to turn it around. The main driver is weekend occupancy, which nearly halved for both room types: revenue is about $730,000 this year against $850,000 last year, likely due to more competition, lower tourist demand, or our marketing. **I recommend three actions**: raise premium prices on weekdays, when those rooms are full; win back weekends with packages and events like weddings; and add new revenue streams for guests and non-guests. **As a next step**, we should analyze costs to see if they've also contributed.

Score this case

Use the ticks above and the rubric. 3 = would pass.

Structure 1 2 3 4 5

Clear, tailored framework?

Math 1 2 3 4 5

Correct, clean, said out loud?

Business sense 1 2 3 4 5

Found the insight, said "so what"?

Communication 1 2 3 4 5

Answer-first, clear, confident?

Drive 1 2 3 4 5

Led the case; few hints needed?

Total: — / 25

2 STRENGTHS · 2 THINGS TO FIX

Strength: ... / Fix: ...

CASE 3 OF 7

Fruit Nation

Market entry | Medium | ~30 min

WHAT THIS CASE IS ABOUT (READ THIS YOURSELF)

A small UK chemicals company has a fertilizer that lets goji berry farmers harvest earlier and sell for 12% more. The candidate structures the launch decision, calculates the fertilizer's value to a farmer, discusses the challenges and risks of selling in China, and finds the market is too small.

THE ANSWER IN ONE LINE, DON'T SHOW

Value to a farmer ≈ **£30 per acre per harvest** (a third harvest + 12% price premium), so price around **£15**. With a £9 production cost, margin is only **£6/acre**; China has just 200 farmers (24,000 acres), so revenue ≈ **£1M a year**. Plus over-supply and China challenges: **don't commercialize**; consider licensing or other fruits.

1 Read the prompt

2–3 min

SAY

"Fruit Nation is a small, pioneering chemicals company based in Cambridge, UK, with annual revenue of £5M. It has recently developed a new fertilizer that affects the growth and ripening of fresh fruit."

"It works especially well with goji berries and has two major benefits: farmers can harvest an impressive two months earlier, and it improves the nutritional value of the harvest by increasing the vitamin C in the fruit, so a farmer can sell the produce for a 12% higher price than the current market rate."

"Goji berries can be harvested all year round, and farmers typically do two harvests a year, since goji berries take six months to grow. The fruit is mostly grown in China, which is where Fruit Nation plans to sell the product if it launches."

"Fruit Nation would like to know whether it should commercialize this fertilizer."

"Do you have any questions before you start?"

IF THEY ASK… YOU ANSWER

What's Fruit Nation's goal?	"To make a profit with this product."
Are there competing products?	"No competing products. Goji berry farmers don't currently use fertilizer."
Is demand for goji berries growing?	"Yes, at a steady rate in line with GDP."
Is the product protected?	"Fruit Nation has filed a patent for the chemical; it's currently pending."
Anything else	"Not important for this case. Make an assumption."

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Plays back the two benefits (earlier harvest, 12% price premium)
- [ ] Asks the goal (profit)
- [ ] Asks about competitors and patents

▼ Show example answer

EXAMPLE ANSWER, SAID OUT LOUD

> **Let me play it back.** Fruit Nation is a £5M UK chemicals company with a new fertilizer for goji berries: two months' earlier harvest, and 12% higher prices thanks to more vitamin C. It would sell in China, where most goji berries are grown. **The question is whether to commercialize it.** Could I ask: is the goal profit? Are there competing products? And is the product protected by a patent?

2 Framework

3 min

SAY

"How would you structure your approach to the question?"

HOW TO STEER

- Original case: if asked, share the clarifying facts above (goal is profit; no competitors; demand growing with GDP; patent pending).

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Potential size of the market
- [ ] Ability to sell profitably: revenues (share, willingness to pay) and costs (variable and fixed)
- [ ] Capabilities: scale, supply chain, local knowledge
- [ ] Risks: being copied, import rules, bad press

FULL LIST FROM THE ORIGINAL CASE: TICK WHAT THEY COVERED

- [ ] Market: size of goji berry farming in China
- [ ] Market: share of farmers open to chemical fertilizer
- [ ] Market: would it attract more farmers into goji berries?
- [ ] Revenue: share of the addressable market we could capture
- [ ] Revenue: farmers' willingness to pay
- [ ] Variable costs: production, shipping to China, distribution in China
- [ ] Fixed costs: salaries, manufacturing equipment
- [ ] Capabilities: produce at scale
- [ ] Capabilities: supply chain to reach farmers
- [ ] Capabilities: local market knowledge and language
- [ ] Risk: being copied; patent protection
- [ ] Risk: import restrictions now and later
- [ ] Risk: bad press hurting demand

ASK IF THEIR ANSWER IS THIN

- "How would you know if this could be profitable?"
- "What could go wrong selling in China?"

ANSWER KEY, DON'T SHOW

1. Potential market size (China goji farming, share open to fertilizer, new entrants). **2. Ability to sell profitably** (revenue: share, willingness to pay; costs: production, shipping, distribution, fixed). **3. Capabilities** (scale, supply chain, local knowledge, language). **4. Risks** (copying and patents, import restrictions, bad press).

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Four buckets: market, profitability, capabilities, risks
2. 2–3 sub-questions each

3. Check in

Phrases to listen for: "I'd look at four areas."

EXAMPLE ANSWER, SAID OUT LOUD

> **I'd look at four areas.** **One, the market**: how big goji farming in China is, how many farmers would use fertilizer, and whether it would draw new farmers in. **Two, profitability**: what share we could win and what farmers would pay, against production, shipping, distribution and fixed costs. **Three, capabilities**: producing at scale, a supply chain to reach farmers, and local knowledge. **Four, risks**: being copied, import rules, and bad press. **Does that sound good?**

▼ **Book's 8-bucket version also counts**

If the candidate uses the 8 buckets from *Hacking the Case Interview*, this is a strong version. Credit it like the casebook's framework.

Market attractiveness

- Goji farming in China: size, growth
- Share of farmers open to fertilizer

Financial considerations

- Willingness to pay (value to farmer)
- Production, shipping, distribution, fixed costs

Company capabilities

- Scale, supply chain, local knowledge

Risks & mitigations

- Copying, patents, import rules, bad press, over-supply

Almost identical to the case's own 4 buckets: market, profitability, capabilities, risks.

3 Value to a farmer

5–6 min

SAY

"You decide to calculate the value of the chemical to a typical farmer, to understand what price they may be willing to pay. Using the information in Exhibit 1, estimate the value of the product for a farmer, per acre of land, per harvest."

GIVE ONLY WHEN: RIGHT AWAY (EXHIBIT 1). SHARE THE TWO EXTRA FACTS ONLY IF REQUIRED.

Exhibit 1. Information for an average goji berry farm

Acres	120
Revenue per harvest	£8,000
Labor cost per 30 days	£1.70 / acre
Number of workers	8

If required: with the fertilizer, farmers can harvest 3 times a year (2 × 6-month seasons become 3 × 4-month seasons). No extra labor is needed for the third harvest; time spent weeding or tending can be used for harvesting.

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Price benefit: £8,000 × 12% = £960 per harvest × 2 = £1,920 a year
- [ ] Third harvest at the higher price: £8,000 × 1.12 = £8,960
- [ ] Total extra: £10,880 a year ÷ 120 acres ≈ £90.67 per acre
- [ ] ÷ 3 harvests ≈ £30 per acre per harvest
- [ ] Realizes labor cost doesn't change

IF THEY SAY… YOU SAY

Forgets the third harvest	"Harvesting two months earlier: how many harvests a year does that allow?"
Adds labor costs	"Does the farmer need extra workers for the third harvest?"

ANSWER KEY, DON'T SHOW

```
Price premium: £8,000 × 0.12 = £960 per harvest × 2 = £1,920/year
Third harvest: £8,000 × 1.12 = £8,960
Per acre: (£1,920 + £8,960) ÷ 120 = £90.67/year
Per harvest: £90.67 ÷ 3 ≈ £30.22 per acre
```

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "What two benefits does the farmer get?"
2. "How many harvests a year with the fertilizer?"

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Name the two sources of value
2. Price premium per year
3. Value of the third harvest
4. Total per acre per year, then per harvest

Phrases to listen for: "The fertilizer creates value in two ways." · "Divided by three harvests, about £30 per acre per harvest."

EXAMPLE ANSWER, SAID OUT LOUD

> **The fertilizer creates value in two ways.** **Higher prices**: 12% of £8,000 is £960 per harvest, or £1,920 a year on the current two harvests. **A third harvest**: two months earlier means three 4-month seasons instead of two 6-month ones, worth £8,000 times 1.12, £8,960, with no extra labor. **Together, about £10,880 a year**, divided by 120 acres is about £91 per acre a year, and **divided by three harvests, about £30 per acre per harvest**.

4 Setting the price PARTLY ADDED

2 min

Beyond the original case: The £15 suggestion is in the case's answer; asking it as its own question is added.

SAY

"So what price would you charge farmers?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] £30 is the theoretical maximum, but at that price farmers gain nothing
- [ ] Price well below, e.g. about half: £15
- [ ] Shows the farmer still gains: ~£10,880 – £5,400 ≈ £5,500 a year on top of ~£16,000
- [ ] Next: need the number of farmers and the production cost

ANSWER KEY, DON'T SHOW

Maximum is £30/acre/harvest, but then farmers have no reason to switch. Around half, **£15** (or another reasonable amount), leaves farmers ~£5,400 a year better off vs. their current ~£16,000. Next we'd need the number of farmers in China and the production cost.

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Maximum = value to the farmer
2. Why price below it
3. Pick a price and show the farmer still gains
4. What you need next

Phrases to listen for: "£30 is the most a farmer could pay, but at that price they'd gain nothing."

EXAMPLE ANSWER, SAID OUT LOUD

> **£30 is the most a farmer could pay, but at that price they'd gain nothing.** I'd price at around half, **£15 per acre per harvest**. That costs a farmer about £5,400 a year and still leaves them about £5,500 better off, on top of roughly £16,000 today. **To judge the opportunity, I'd next need the number of farmers and our production cost.**

5 Challenges in China

3 min

SAY

"Fruit Nation has never sold a product in China before and wants to understand the potential challenges. What do you think the main challenges of selling the product in China are?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Structures: legal vs. capability challenges
- [ ] 2–4 concrete points in each

FULL LIST FROM THE ORIGINAL CASE: TICK WHAT THEY COVERED

- [ ] Legal: may need a local partner to operate
- [ ] Legal: high import taxes
- [ ] Legal: approval from food or agricultural authorities
- [ ] Legal: IP infringement by local competitors
- [ ] Capability: inadequate storage (e.g. temperature control)
- [ ] Capability: reliable, fast, trackable transport
- [ ] Capability: cultural and time differences in manufacturing
- [ ] Capability: communicating with the local supply chain without language skills

ASK IF THEIR ANSWER IS THIN

- "What permissions might a foreign chemicals company need?"
- "How would the product physically get to farmers?"

ANSWER KEY, DON'T SHOW

Legal: local partner requirement, import taxes, regulatory approval, IP infringement. **Capability**: storage conditions, reliable transport and tracking, cultural and time differences, language barriers with the supply chain.

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Two groups: legal / capability
2. 3–4 points each

Phrases to listen for: "I'd split the challenges into legal and capability."

EXAMPLE ANSWER, SAID OUT LOUD

> **I'd split the challenges into legal and capability.** **Legal**: we may need a local partner, import taxes could be high, we'd need approval from food or agricultural authorities, and our IP could be infringed. **Capability**: storage may need specific temperatures, transport must be fast and trackable, manufacturing across cultures and time zones is hard, and we lack the language skills to work with the local supply chain.

6 Launch risks

3 min

SAY

"In addition to those challenges, what do you think the main risks are in launching this product?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Structures: customer risks vs. market risks
- [ ] Spots the over-supply effect: 3 harvests = +50% supply, pushing goji prices down

FULL LIST FROM THE ORIGINAL CASE: TICK WHAT THEY COVERED

- [ ] Customer: farmers skeptical of a new product, low adoption
- [ ] Customer: health concerns about a new chemical on food
- [ ] Market: new entrants competing
- [ ] Market: the 12% premium disappears if all farmers adopt
- [ ] Market: 3 harvests = +50% supply, likely above demand → lower goji prices → lower value of the fertilizer

ASK IF THEIR ANSWER IS THIN

- "What happens to goji berry prices if every farmer harvests three times a year?"

ANSWER KEY, DON'T SHOW

Customer risks: skeptical farmers, health concerns. **Market risks**: new entrants; the 12% premium erodes if everyone adopts; a 50% jump in supply would push prices, and so the fertilizer's value, down.

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Two groups: customers / market
2. Highlight the over-supply effect

Phrases to listen for: "Three harvests means 50% more supply."

EXAMPLE ANSWER, SAID OUT LOUD

> **I'd split risks into customers and market.** **Customers**: farmers may be skeptical of a new product, and there may be health concerns about a new chemical on food. **Market**: new entrants may copy us, and **if every farmer adopts it, the 12% premium disappears**. Worse, three harvests means **50% more supply**, which would push goji prices down, and with them the value of our fertilizer.

7 Production cost

3–4 min

SAY

"Fruit Nation estimates the variable production cost of the chemical at £9 per acre. How does this impact your conclusion?"

GIVE ONLY WHEN: IF REQUIRED.

There are **200** goji berry farmers in China, so **24,000 acres** of farmland (average farm of 120 acres, from Exhibit 1).

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Margin: £15 – £9 = £6 per acre, before distribution and fixed costs
- [ ] Market: 24,000 acres × £15 = £360k per harvest × 3 ≈ £1.08M a year
- [ ] Profit under £400k
- [ ] ~20% of current revenue, but little growth potential
- [ ] Suggests alternatives: licensing, other fruits

ANSWER KEY, DON'T SHOW

```
Margin: £15 − £9 = £6/acre (before distribution and fixed costs)
Revenue: 24,000 × £15 = £360k/harvest × 3 ≈ £1.08M/year; profit < £400k
```

About 20% of Fruit Nation's current revenue, but a small market with little growth. Too small on its own: look at licensing or other fruits.

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "How much is left per acre after the £9 cost?"
2. "How big is the whole market in a year?"

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Margin per acre
2. Market size per harvest and per year
3. Compare with current revenue
4. So what, and alternatives

Phrases to listen for: "We make only £6 per acre." · "On its own, it looks too small."

EXAMPLE ANSWER, SAID OUT LOUD

> At £15 and a £9 cost, **we make only £6 per acre**, before distribution and fixed costs. With 200 farmers on 24,000 acres, the market is £360,000 per harvest, **about £1.1 million a year**, with profit under £400,000. **So what**: that's 20% of today's revenue, but a small market with little room to grow. **On its own, it looks too small**; I'd look at licensing or other fruits.

8 Recommendation

1–2 min

SAY

"Based on the information you have, would you recommend Fruit Nation commercializes the product?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Answer first: no
- [ ] Profit opportunity too small: £6/acre before other costs; ~£1M revenue a year
- [ ] Over-supply would erode goji prices and the fertilizer's value
- [ ] Many China challenges outside their control
- [ ] Next steps: licensing to a local manufacturer, other fruits

ANSWER KEY, DON'T SHOW

"We were asked if Fruit Nation should commercialize the fertilizer. I don't recommend it. First, the profit opportunity is too small: at £15/acre, variable profit is £6/acre before distribution and fixed costs, and revenue would be just over £1M a year. Second, the fertilizer could cause over-supply, pushing down goji prices and the value of the product. Third, there are many challenges in selling into China, some outside Fruit Nation's control. With more time, I'd look at licensing to a local manufacturer with existing infrastructure, or using it on other fruits."

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Restate and answer: no
2. Three reasons
3. Alternatives as next steps

Phrases to listen for: "I recommend it doesn't, for three reasons."

EXAMPLE ANSWER, SAID OUT LOUD

> **We were asked whether Fruit Nation should commercialize its fertilizer. I recommend it doesn't, for three reasons.** One, **the profit opportunity is too small**: £6 per acre before distribution and fixed costs, and about £1 million of revenue a year. Two, **over-supply** could push goji prices down and erode the fertilizer's value. Three, **selling into China brings many challenges**, some outside our control. **With more time**, I'd explore licensing the technology to a local manufacturer, or applying it to other fruits.

▼ Show the full sample interview

INTERVIEWER

"Fruit Nation is a small, pioneering chemicals company based in Cambridge, UK, with annual revenue of £5M. It has recently developed a new fertilizer that affects the growth and ripening of fresh fruit."

"It works especially well with goji berries and has two major benefits: farmers can harvest an impressive two months earlier, and it improves the nutritional value of the harvest by increasing the vitamin C in the fruit, so a farmer can sell the produce for a 12% higher price than the current market rate."

"Goji berries can be harvested all year round, and farmers typically do two harvests a year, since goji berries take six months to grow. The fruit is mostly grown in China, which is where Fruit Nation plans to sell the product if it launches."

"Fruit Nation would like to know whether it should commercialize this fertilizer."

> CANDIDATE

Let me play it back. Fruit Nation is a £5M UK chemicals company with a new fertilizer for goji berries: two months' earlier harvest, and 12% higher prices thanks to more vitamin C. It would sell in China, where most goji berries are grown. **The question is whether to commercialize it.** Could I ask: is the goal profit? Are there competing products? And is the product protected by a patent?

INTERVIEWER · FRAMEWORK

"How would you structure your approach to the question?"

CANDIDATE

I'd look at four areas. **One, the market**: how big goji farming in China is, how many farmers would use fertilizer, and whether it would draw new farmers in. **Two, profitability**: what share we could win and what farmers would pay, against production, shipping, distribution and fixed costs. **Three, capabilities**: producing at scale, a supply chain to reach farmers, and local knowledge. **Four, risks**: being copied, import rules, and bad press. **Does that sound good?**

INTERVIEWER · VALUE TO A FARMER

"You decide to calculate the value of the chemical to a typical farmer, to understand what price they may be willing to pay. Using the information in Exhibit 1, estimate the value of the product for a farmer, per acre of land, per harvest."

Exhibit 1. Information for an average goji berry farm

Acres	120
Revenue per harvest	£8,000
Labor cost per 30 days	£1.70 / acre
Number of workers	8

If required: with the fertilizer, farmers can harvest 3 times a year (2 × 6-month seasons become 3 × 4-month seasons). No extra labor is needed for the third harvest; time spent weeding or tending can be used for harvesting.

CANDIDATE

The fertilizer creates value in two ways. **Higher prices**: 12% of £8,000 is £960 per harvest, or £1,920 a year on the current two harvests. **A third harvest**: two months earlier means three 4-month seasons instead of two 6-month ones, worth £8,000 times 1.12, £8,960, with no extra labor. **Together, about £10,880 a year**, divided by 120 acres is about £91 per acre a year, and **divided by three harvests, about £30 per acre per harvest**.

INTERVIEWER · SETTING THE PRICE

"So what price would you charge farmers?"

CANDIDATE

£30 is the most a farmer could pay, but at that price they'd gain nothing. I'd price at around half, **£15 per acre per harvest**. That costs a farmer about £5,400 a year and still leaves them about £5,500 better off, on top of roughly £16,000 today. **To judge the opportunity, I'd next need the number of farmers and our production cost.**

INTERVIEWER · CHALLENGES IN CHINA

"Fruit Nation has never sold a product in China before and wants to understand the potential challenges. What do you think the main challenges of selling the product in China are?"

CANDIDATE

I'd split the challenges into legal and capability. **Legal**: we may need a local partner, import taxes could be high, we'd need approval from food or agricultural authorities, and our IP could be infringed. **Capability**: storage may need specific temperatures, transport must be fast and trackable, manufacturing across cultures and time zones is hard, and we lack the language skills to work with the local supply chain.

INTERVIEWER · LAUNCH RISKS

"In addition to those challenges, what do you think the main risks are in launching this product?"

CANDIDATE

I'd split risks into customers and market. **Customers**: farmers may be skeptical of a new product, and there may be health concerns about a new chemical on food. **Market**: new entrants may copy us, and **if every farmer adopts it, the 12% premium disappears**. Worse, three harvests means **50% more supply**, which would push goji prices down, and with them the value of our fertilizer.

INTERVIEWER · PRODUCTION COST

"Fruit Nation estimates the variable production cost of the chemical at £9 per acre. How does this impact your conclusion?"

There are **200** goji berry farmers in China, so **24,000 acres** of farmland (average farm of 120 acres, from Exhibit 1).

CANDIDATE

At £15 and a £9 cost, **we make only £6 per acre**, before distribution and fixed costs. With 200 farmers on 24,000 acres, the market is £360,000 per harvest, **about £1.1**

million a year, with profit under £400,000. **So what**: that's 20% of today's revenue, but a small market with little room to grow. **On its own, it looks too small**; I'd look at licensing or other fruits.

INTERVIEWER · RECOMMENDATION

"Based on the information you have, would you recommend Fruit Nation commercializes the product?"

CANDIDATE

We were asked whether Fruit Nation should commercialize its fertilizer. I recommend it doesn't, for three reasons. One, **the profit opportunity is too small**: £6 per acre before distribution and fixed costs, and about £1 million of revenue a year. Two, **over-supply** could push goji prices down and erode the fertilizer's value. Three, **selling into China brings many challenges**, some outside our control. **With more time**, I'd explore licensing the technology to a local manufacturer, or applying it to other fruits.

Score this case

Use the ticks above and the rubric. 3 = would pass.

Structure 1 2 3 4 5

Clear, tailored framework?

Math 1 2 3 4 5

Correct, clean, said out loud?

Business sense 1 2 3 4 5

Found the insight, said "so what"?

Communication 1 2 3 4 5

Answer-first, clear, confident?

Drive 1 2 3 4 5

Led the case; few hints needed?

Total: — / 25

2 STRENGTHS · 2 THINGS TO FIX

Strength: ... / Fix: ...

CASE 4 OF 7

Singapore Taxis

Market sizing | Hard | ~25 min

WHAT THIS CASE IS ABOUT (READ THIS YOURSELF)

Estimate how many taxis there are in Singapore. The candidate splits the problem into demand (rides by residents and by visitors) and supply (rides one taxi can handle in a year), estimates each, divides, then explains why the real fleet is shrinking.

THE ANSWER IN ONE LINE, DON'T SHOW

Demand: residents ~5.5M × ~50 rides × 50% taxi share ≈ **140M rides**; visitors ~10M × ~8 rides × 50% ≈ **40M**. Supply: ~3,000 busy hours ÷ 0.5 h per ride ≈ **6,000 rides per taxi**. Fleet ≈ 180M ÷ 6,000 ≈ **30,000 taxis** (the real fleet was ~23k in 2017, down from ~29k in 2014).

1 Read the prompt

2–3 min

SAY

"The taxi industry has been disrupted by e-hailing startups such as Uber. In Singapore, taxis still command 50% of total ride services volume."

"Please estimate the size of the taxi fleet in Singapore."

"Do you have any questions before you start?"

IF THEY ASK… YOU ANSWER

What exactly are we counting?	"The number of vehicles used as taxis in Singapore, excluding decommissioned taxis."
Do we include e-hailing cars? ADDED	"No, taxis only. Taxis are 50% of ride volume."
Is there a time frame? ADDED	"Today's fleet."
Anything else	"Not important for this case. Make an assumption."

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Confirms the definition (vehicles in use, not decommissioned)
- [ ] Notes the 50% taxi share

▼ Show example answer

EXAMPLE ANSWER, SAID OUT LOUD

> **Just to confirm**: we want the number of vehicles currently used as taxis in Singapore, excluding decommissioned ones, and taxis have 50% of ride volume, with e-hailing the rest. **Could I take a minute to structure my approach?**

2 Framework

3 min

SAY

"How would you approach this estimate?"

HOW TO STEER

- Original case: a strong candidate notes that the fleet size is driven by the demand for taxi rides and the number of rides each taxi can fulfil. Demand comes from both the domestic population and foreign visitors (tourists, business travelers).

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Fleet = total taxi rides ÷ rides one taxi can handle
- [ ] Demand from residents: population × rides per person × taxi share
- [ ] Demand from visitors: visitors × rides per visitor × taxi share
- [ ] Supply per taxi: operating hours ÷ average ride duration

FULL LIST FROM THE ORIGINAL CASE: TICK WHAT THEY COVERED

- [ ] Taxi rides from residents: population size
- [ ] Residents: rides per person
- [ ] Residents: % share by taxis
- [ ] Taxi rides from visitors: number of foreign visitors
- [ ] Visitors: rides per visitor
- [ ] Visitors: % share by taxis
- [ ] Rides per taxi: operating hours
- [ ] Rides per taxi: average ride duration

ASK IF THEIR ANSWER IS THIN

- "What determines how many taxis a city needs?"
- "Who takes taxis in Singapore besides residents?"

IF THEY SAY... YOU SAY

Tries a top-down shortcut like 'X taxis per 1,000 people'	"How would you justify that ratio? Can you build it from demand and supply?"

ANSWER KEY, DON'T SHOW

Size of taxi fleet = number of taxi rides ÷ rides handled by each taxi

- **Taxi rides from residents** = population × rides per person × % share by taxis
- **Taxi rides from foreign visitors** = visitors × rides per visitor × % share by taxis
- **Rides per taxi** = operating hours of a taxi ÷ average duration of a ride

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "Think demand and supply."
2. "How many rides can one taxi do in a year?"

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Fleet = rides ÷ rides per taxi
2. Demand: residents + visitors
3. Supply: hours ÷ ride length
4. Check in

Phrases to listen for: "The fleet size depends on demand for rides and how many rides each taxi can handle."

EXAMPLE ANSWER, SAID OUT LOUD

> **The fleet size depends on demand for taxi rides and how many rides each taxi can handle**, so fleet equals total rides divided by rides per taxi. **Demand comes from two groups**: residents, as population times rides per person times the taxi share; and foreign visitors, as visitors times rides per visitor times the taxi share. **Supply per taxi** is its operating hours divided by the average ride time. **Does that sound good?**

▼ Book's 8-bucket version also counts

If the candidate uses the 8 buckets from *Hacking the Case Interview*, this is a strong version. Credit it like the casebook's framework.

Demand (a formula)

- Residents × rides × taxi share
- Visitors × rides × taxi share

Supply per taxi (a formula)

- Hours × utilization ÷ ride length

Customer segmentation

- Daily / frequent / occasional users
- Business / tourist / backpacker

A pure estimation: the book says to use a formula, not buckets. Segmenting customers is where the 8-bucket thinking helps.

3 Rides by residents PARTLY ADDED

4–5 min

Beyond the original case: The case answers this in one calculation; splitting it into steps is added.

SAY

"Let's start with residents. How many taxi rides do they take a year?"

HOW TO STEER

- Candidate-led estimate. If they don't know Singapore, share the facts in the exhibit.
- Look for segmentation of riders, e.g. daily, frequent, average, occasional and non-users.

GIVE ONLY WHEN: IF THE CANDIDATE ISN'T FAMILIAR WITH SINGAPORE.

- Population: ~**5.5M**
- Car ownership is low because cars are expensive (~**10%** of households)
- Most people commute by bus and subway

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Segments riders by frequency
- [ ] Weighted average ≈ 50 rides a person a year
- [ ] Applies the 50% taxi share
- [ ] 5.5M × 50 × 50% ≈ 140M rides

ANSWER KEY, DON'T SHOW

Rider type	Frequency	% pop.	Rides/yr
Daily	12/week	5%	~31
Frequent	2/week	10%	~10
Average	2/month	20%	~5
Occasional	2/year	50%	1
Non-users	0	15%	0

```
≈ 47 → ~50 rides per person per year
5.5M × 50 × 50% ≈ 140M rides/year
```

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "Do all residents take taxis equally often?"
2. "Try a few user types with different frequencies."

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Segment by frequency
2. Weighted rides per person
3. × population × taxi share

Phrases to listen for: "I'll segment residents by how often they ride."

EXAMPLE ANSWER, SAID OUT LOUD

> **I'll segment residents by how often they ride.** Daily users, 5%, take about 12 rides a week, roughly 31 a year on a weighted basis. Frequent users, 10%, about 10. Average users, 20%, about 5. Occasional users, half the population, 1. And 15% never ride. **That's about 50 rides per person a year.** With 5.5 million people and taxis taking 50%, **that's about 140 million taxi rides**.

4 Rides by visitors PARTLY ADDED

4 min

Beyond the original case: The case answers this in one calculation; splitting it into steps is added.

SAY

"Now foreign visitors. How many taxi rides do they take a year?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Estimates visitors, e.g. from airport arrivals
- [ ] Removes transit passengers
- [ ] Segments visitors (business, tourists, backpackers)
- [ ] 10M visitors × ~8 rides × 50% ≈ 40M rides

ANSWER KEY, DON'T SHOW

```
Arrivals: 20 planes/hr × 14 hrs × 365 × 200 people ≈ 20M
50% are transit → ~10M visitors a year (3-day stays)
```

Visitor	Rides/trip	% visitors	Weighted
Business	4/day × 3 = 12	50%	6
Tourist	2/day × 3 = 6	30%	~2
Backpacker	2	20%	~0.5

```
≈ 8 rides per visitor
10M × 8 × 50% ≈ 40M rides/year
```

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "How could you estimate visitor numbers from the airport?"

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Estimate visitors (airport)
2. Remove transit
3. Segment visitors
4. × rides × taxi share

Phrases to listen for: "I'll estimate visitors from the airport."

EXAMPLE ANSWER, SAID OUT LOUD

> **I'll estimate visitors from the airport.** About 20 planes an hour, 14 hours a day, with 200 passengers each, is about 20 million arrivals; half are transiting, so **10 million visitors**, staying about 3 days. Business travelers, half, take about 12 rides; tourists, 30%, about 6; backpackers, 20%, just 2. **That's about 8 rides per visitor**, so 10 million times 8 times 50% is **about 40 million rides**.

5 Rides per taxi PARTLY ADDED

3 min

Beyond the original case: The case answers this in one calculation; splitting it into steps is added.

SAY

"How many rides can one taxi handle in a year?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Operating hours a day and days a year
- [ ] Utilization: not every hour has a passenger
- [ ] Average ride length (small country: ~30 min)
- [ ] 12 h × 70% × 350 days ≈ 3,000 h ÷ 0.5 h ≈ 6,000 rides

ANSWER KEY, DON'T SHOW

```
12 h/day × 70% utilized × 350 days ≈ 2,940 → ~3,000 hours
3,000 ÷ 0.5 h per ride = 6,000 rides per taxi per year
```

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "Is a taxi carrying passengers every hour it's on the road?"

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Hours a day × days
2. × utilization
3. ÷ ride length

Phrases to listen for: "Roughly 3,000 busy hours a year."

EXAMPLE ANSWER, SAID OUT LOUD

> A taxi runs about 12 hours a day, 350 days a year, but only carries passengers about 70% of the time: **roughly 3,000 busy hours**. Singapore is small, so a ride takes about half an hour. **That's about 6,000 rides per taxi a year.**

6 Fleet size PARTLY ADDED

2 min

Beyond the original case: The case answers this in one calculation; splitting it into steps is added.

SAY

"So how many taxis are there?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] (140M + 40M) ÷ 6,000 ≈ 30,000 taxis
- [ ] States the answer clearly with the main assumptions

ANSWER KEY, DON'T SHOW

```
(140M + 40M) ÷ 6,000 ≈ 30,000 taxis
```

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Add demand
2. Divide by supply per taxi
3. State the answer

Phrases to listen for: "About 30,000 taxis."

EXAMPLE ANSWER, SAID OUT LOUD

> 140 million plus 40 million is 180 million rides, divided by 6,000 per taxi: **about 30,000 taxis**.

7 Interpretation

3 min

SAY

"According to the Land Transport Authority, the taxi fleet in Singapore was about 23,000 at the end of 2017, down from a peak of about 29,000 in 2014. What factors might have led to this decline?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Structures: lower taxi share / smaller relevant population / higher utilization
- [ ] Several reasons in each

FULL LIST FROM THE ORIGINAL CASE: TICK WHAT THEY COVERED

- [ ] Taxi share: e-hailing (Uber) reduced demand
- [ ] Taxi share: better public transport
- [ ] Taxi share: higher taxi fares
- [ ] Taxi share: poor reputation of drivers
- [ ] Population: fewer foreign visitors
- [ ] Population: aging, fewer commuters
- [ ] Utilization: technology matching riders and taxis, less downtime
- [ ] Utilization: shorter rides (less congestion, GPS apps)

ASK IF THEIR ANSWER IS THIN

- "Could the same demand be served by fewer taxis?"

ANSWER KEY, DON'T SHOW

Lower taxi share: e-hailing, better public transport, higher fares, poor driver reputation. **Smaller relevant population**: fewer visitors, aging population with fewer commutes. **Higher utilization**: technology cuts downtime; shorter rides thanks to less congestion and GPS apps.

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Three groups: share, population, utilization
2. 2–3 reasons each

Phrases to listen for: "I'd group the reasons into three."

EXAMPLE ANSWER, SAID OUT LOUD

> **I'd group the reasons into three.** **Taxis' share fell**: e-hailing took riders, public transport improved, fares rose, or drivers' reputation suffered. **The relevant population shrank**: fewer visitors, or an aging population commuting less. **Each taxi became more productive**: apps match riders faster, and GPS and less congestion make rides shorter.

8 Wrap-up ADDED

1 min

Beyond the original case: The original has no synthesis question.

SAY

"Give me your answer in 30 seconds."

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Answer first: about 30,000 taxis
- [ ] How it was built: demand ÷ capacity per taxi
- [ ] Biggest assumption and how to refine it

ANSWER KEY, DON'T SHOW

"About 30,000 taxis: roughly 180 million taxi rides a year, 140 million from residents and 40 million from visitors, divided by about 6,000 rides a taxi can handle. The most sensitive assumption is rides per resident; I'd refine it with ride-volume data. The real fleet, about 23,000, is lower, likely because e-hailing took share and taxis are used more efficiently."

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Answer first
2. How it was built

3. Most sensitive assumption
4. Compare with reality

Phrases to listen for: "The most sensitive assumption is..."

EXAMPLE ANSWER, SAID OUT LOUD

> **Singapore has about 30,000 taxis**: roughly 180 million taxi rides a year, 140 million from residents and 40 million from visitors, divided by about 6,000 rides per taxi. **The most sensitive assumption is rides per resident**, which I'd refine with real ride data. The actual fleet, about 23,000, is lower, likely because e-hailing took share and taxis are used more efficiently.

▼ Show the full sample interview

INTERVIEWER

"The taxi industry has been disrupted by e-hailing startups such as Uber. In Singapore, taxis still command 50% of total ride services volume."

"Please estimate the size of the taxi fleet in Singapore."

> CANDIDATE
>
> **Just to confirm**: we want the number of vehicles currently used as taxis in Singapore, excluding decommissioned ones, and taxis have 50% of ride volume, with e-hailing the rest. **Could I take a minute to structure my approach?**

INTERVIEWER · FRAMEWORK

"How would you approach this estimate?"

> CANDIDATE
>
> **The fleet size depends on demand for taxi rides and how many rides each taxi can handle**, so fleet equals total rides divided by rides per taxi. **Demand comes from two groups**: residents, as population times rides per person times the taxi share; and foreign visitors, as visitors times rides per visitor times the taxi share. **Supply per taxi** is its operating hours divided by the average ride time. **Does that sound good?**

INTERVIEWER · RIDES BY RESIDENTS

"Let's start with residents. How many taxi rides do they take a year?"

- Population: ~**5.5M**
- Car ownership is low because cars are expensive (~**10%** of households)
- Most people commute by bus and subway

CANDIDATE

I'll segment residents by how often they ride. Daily users, 5%, take about 12 rides a week, roughly 31 a year on a weighted basis. Frequent users, 10%, about 10. Average users, 20%, about 5. Occasional users, half the population, 1. And 15% never ride. **That's about 50 rides per person a year.** With 5.5 million people and taxis taking 50%, **that's about 140 million taxi rides**.

INTERVIEWER · RIDES BY VISITORS

"Now foreign visitors. How many taxi rides do they take a year?"

CANDIDATE

I'll estimate visitors from the airport. About 20 planes an hour, 14 hours a day, with 200 passengers each, is about 20 million arrivals; half are transiting, so **10 million visitors**, staying about 3 days. Business travelers, half, take about 12 rides; tourists, 30%, about 6; backpackers, 20%, just 2. **That's about 8 rides per visitor**, so 10 million times 8 times 50% is **about 40 million rides**.

INTERVIEWER · RIDES PER TAXI

"How many rides can one taxi handle in a year?"

CANDIDATE

A taxi runs about 12 hours a day, 350 days a year, but only carries passengers about 70% of the time: **roughly 3,000 busy hours**. Singapore is small, so a ride takes about half an hour. **That's about 6,000 rides per taxi a year.**

INTERVIEWER · FLEET SIZE

"So how many taxis are there?"

CANDIDATE

140 million plus 40 million is 180 million rides, divided by 6,000 per taxi: **about 30,000 taxis**.

INTERVIEWER · INTERPRETATION

"According to the Land Transport Authority, the taxi fleet in Singapore was about 23,000 at the end of 2017, down from a peak of about 29,000 in 2014. What factors might have led to this decline?"

CANDIDATE

I'd group the reasons into three. **Taxis' share fell**: e-hailing took riders, public transport improved, fares rose, or drivers' reputation suffered. **The relevant population**

> **shrank**: fewer visitors, or an aging population commuting less. **Each taxi became more productive**: apps match riders faster, and GPS and less congestion make rides shorter.

INTERVIEWER · WRAP-UP

"Give me your answer in 30 seconds."

> CANDIDATE
>
> **Singapore has about 30,000 taxis**: roughly 180 million taxi rides a year, 140 million from residents and 40 million from visitors, divided by about 6,000 rides per taxi. **The most sensitive assumption is rides per resident**, which I'd refine with real ride data. The actual fleet, about 23,000, is lower, likely because e-hailing took share and taxis are used more efficiently.

Score this case

Use the ticks above and the rubric. 3 = would pass.

Structure 1 2 3 4 5

Clear, tailored framework?

Math 1 2 3 4 5

Correct, clean, said out loud?

Business sense 1 2 3 4 5

Found the insight, said "so what"?

Communication 1 2 3 4 5

Answer-first, clear, confident?

Drive 1 2 3 4 5

Led the case; few hints needed?

Total: — / 25

2 STRENGTHS · 2 THINGS TO FIX

Strength: ... / Fix: ...

CASE 5 OF 7

Canadian Wildlife Federation

Non-profit strategy | Medium | ~30 min

WHAT THIS CASE IS ABOUT (READ THIS YOURSELF)

A wildlife non-profit wants to know why the swift fox population is collapsing and how to stop it. The candidate structures the problem as births, deaths and migration, reads two exhibits (highways splitting the population; gender and disease by group), calculates next year's population change, and gives a 30-second public statement.

THE ANSWER IN ONE LINE, DON'T SHOW

Structure: **fewer births / more deaths / net migration**. Highways split the foxes into 4 groups with **gender imbalance** (fewer pairs) and high **disease**. Next year: ~525 births − ~810 disease deaths − ~420 natural deaths ≈ **−705, about −14%**; without the disease the population would be roughly stable. Priorities: tackle the disease, then fix the gender imbalance.

1 Read the prompt

2–3 min

SAY

"Your client is the Canadian Wildlife Federation (CWF), a government-affiliated non-profit that aims to educate Canadians about wildlife and promote responsible human actions and conservation."

"One endangered species, the swift fox, has been declining dramatically."

"CWF has asked your firm to help figure out what's causing this decline, and what they can do to stop it declining any further."

"Do you have any questions before you start?"

IF THEY ASK… YOU ANSWER

Has the population always been falling?	"Swift fox populations were historically stable until this past year."
Is there a recovery target?	"No specific targets for the population recovery."
What do swift foxes eat?	"The swift fox is an omnivore."
Has the environment changed?	"Environmental factors have remained relatively unchanged over time."
Is CWF worried about anything specific?	"Yes: a new outbreak of a deadly gastrointestinal disease has affected several Canadian forests, including the swift fox's habitat."
Are they hunted?	"There are no hunting licenses for swift foxes."
Anything else	"Not important for this case. Make an assumption."

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Plays back: endangered fox, sudden decline this past year, find causes and solutions
- [ ] Asks what changed recently (finds the disease outbreak)
- [ ] Asks about hunting and environment

▼ Show example answer

EXAMPLE ANSWER, SAID OUT LOUD

> **Let me make sure I understand.** CWF is a government-affiliated conservation non-profit. The endangered swift fox population has been falling dramatically, and **CWF wants to know why, and how to stop it**. Could I ask: has it always been falling? Has anything changed recently in their habitat, such as disease or hunting? And is there a recovery target?

2 Framework

3 min

SAY

"What factors would you consider to answer the client's questions?"

HOW TO STEER

- Original case: this is an unusual question to structure. Look for a population equation: change = births – deaths ± migration.
- Share the clarifying facts above if asked.

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Fewer births: health, gender imbalance
- [ ] More deaths: hunting, shortage of food/water/shelter, disease
- [ ] More net migration (departures – arrivals): habitat destruction or change, human interference

FULL LIST FROM THE ORIGINAL CASE: TICK WHAT THEY COVERED

- [ ] Fewer births: deterioration in health
- [ ] Fewer births: gender imbalance
- [ ] More deaths: hunting
- [ ] More deaths: shortage of food, water or shelter
- [ ] More deaths: more disease
- [ ] Net migration: destruction or change of habitat
- [ ] Net migration: more human interference

ASK IF THEIR ANSWER IS THIN

- "What makes any population go up or down?"
- "Could foxes simply be leaving?"

IF THEY SAY… YOU SAY

Uses a business framework (market, competitors…)	"Think of it like a population: what adds foxes and what removes them?"

ANSWER KEY, DON'T SHOW

1. Fewer births: deteriorating health, gender imbalance. **2. More deaths**: hunting, shortage of food/water/shelter, disease. **3. Higher net migration** (departures – arrivals): habitat destruction or change, human interference.

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "How does a population change from one year to the next?"

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Population equation: births – deaths ± migration
2. 2 drivers under each
3. Say where you'd start, and why

Phrases to listen for: "A population changes through births, deaths and migration."

EXAMPLE ANSWER, SAID OUT LOUD

> **A population changes through births, deaths and migration, so I'd use those three buckets.** **Fewer births**: worse health, or a gender imbalance that limits pairs. **More deaths**: hunting, shortages of food, water or shelter, or disease. **Higher net migration**: foxes leaving because their habitat was destroyed or changed, or because of human interference. **Given the new disease outbreak, I'd start with deaths.** **Does that sound good?**

▼ **Book's 8-bucket version also counts**

If the candidate uses the 8 buckets from *Hacking the Case Interview*, this is a strong version. Credit it like the casebook's framework.

Births (create your own)

- Health
- Gender balance → number of pairs

Deaths (create your own)

- Disease
- Food, water, shelter
- Hunting

Migration / habitat (create your own)

- Highways splitting habitat
- Human interference

Risks & mitigations

- Disease spread between groups
- Isolation of groups

A non-business case: the book's 'create your own bucket' is the way in. Births / deaths / migration is the natural structure.

3 Reading the exhibits

4–5 min

SAY

> "The swift fox population was split into four groups by new interprovincial highways built five years ago. We've gathered this data on each group's habitat and demographics. What can you conclude from these exhibits?"

GIVE ONLY WHEN: RIGHT AWAY (EXHIBITS 1 AND 2).

Exhibit 1. Current swift fox habitat

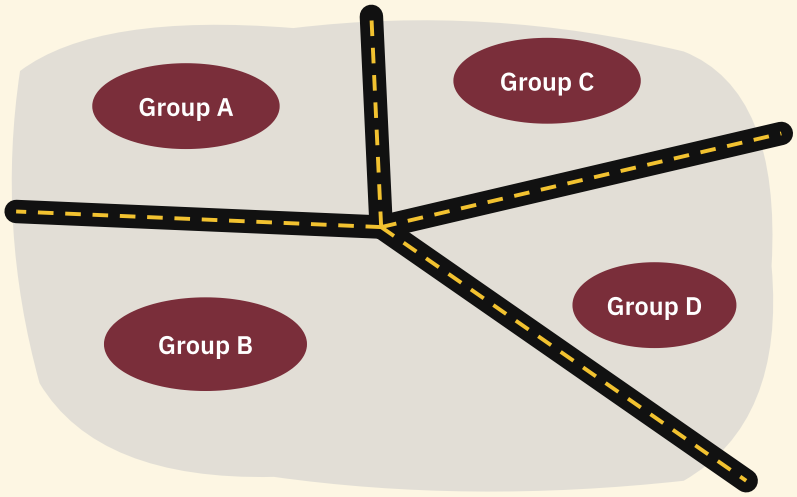


Exhibit 2. Swift fox demographics by group

Group	Fraction of population	% male	% female	% affected by disease
A	1/4	10%	90%	25%
B	1/8	30%	70%	40%
C	3/8	50%	50%	10%
D	1/4	40%	60%	5%

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Gender imbalance: only Group C is 50-50; A, B and D have more females
- [ ] The highways split the population unevenly, which may drive the imbalance and lower births
- [ ] Disease rates are inconsistent and high in three of four groups; maybe linked to each side of the highway
- [ ] No link between disease and group size or gender balance
- [ ] Unclear why: maybe males roam further and die crossing highways
- [ ] Conclusion: decline driven by disease and gender imbalance

FULL LIST FROM THE ORIGINAL CASE: TICK WHAT THEY COVERED

- [ ] Gender distribution unbalanced (A, B, D more females)
- [ ] Highways split the population disproportionately → imbalance → fewer births
- [ ] Disease inconsistent and high in three groups, maybe tied to environment on each side
- [ ] No correlation between disease and size or gender balance
- [ ] Possible cause: males travel further and are killed on highways
- [ ] Next: study the disease, ways to reduce it, and rebalancing the genders

ASK IF THEIR ANSWER IS THIN

- "What does a 10% male group mean for births?"
- "Is disease related to group size?"

ANSWER KEY, DON'T SHOW

The population decline seems driven by **disease** and **gender imbalance** within groups. Only Group C is balanced; three groups have high and uneven disease rates; the highways split the population and may cause the imbalance (e.g. males roaming further and dying on the roads). Next: investigate the disease, ways to reduce it, and how to rebalance the gender mix.

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "Go column by column in Exhibit 2."

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Say what each exhibit shows
2. Insight 1: gender imbalance → fewer pairs
3. Insight 2: disease, high and uneven
4. What you can't conclude
5. So what

Phrases to listen for: "Two things stand out." · "So the decline seems driven by disease and gender imbalance."

EXAMPLE ANSWER, SAID OUT LOUD

> **Two things stand out.** **First, gender imbalance**: only Group C is 50-50; Groups A, B and D have far more females, Group A only 10% male. That limits pairs and births, and the highways may be the cause, perhaps because males roam further and die crossing them. **Second, disease**: rates are high and uneven, 40% in B and 25% in A, with no link to group size or gender, perhaps tied to the environment on each side of the highway. **So the decline seems driven by disease and gender imbalance.**

4 Births next year PARTLY ADDED

4–5 min

Beyond the original case: The math is the case's; splitting the question into births, deaths and change is added.

SAY

"The client is curious how much the disease and the gender disparity matter for the overall population. Let's build it up. How many foxes will be born next year?"

HOW TO STEER

- Original case: share the facts below if asked.

GIVE ONLY WHEN: WHEN ASKED.

- There are **5,000** swift foxes
- Swift foxes choose only one mate for life
- Mating season is once a year (1 litter), but pairs mate once every **five** years
- Diseased foxes can give birth
- The average litter yields **1.5** foxes
- All deaths not caused by disease are natural
- Life expectancy is **10 years**, but foxes with the disease live only **one** year
- Net migration is zero

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Pairs are limited by the scarcer sex in each group
- [ ] A: 1,250 × 10% = 125; B: 625 × 30% ≈ 190; C: 1,875 × 50% ≈ 940; D: 1,250 × 40% = 500 → ~1,750 pairs
- [ ] Births per pair per year = 1.5 × 2 litters per life ÷ 10 years = 0.3
- [ ] 1,750 × 0.3 = 525

IF THEY SAY… YOU SAY

Counts all foxes ÷ 2 as pairs	"If a group has 10 males and 90 females, how many pairs can form?"
Uses 1.5 births per pair per year	"How often does a pair actually mate?"

ANSWER KEY, DON'T SHOW

```
Births per pair per year = 1.5 × (10 ÷ 5) litters ÷ 10 years = 0.3
Pairs: A 125 + B ~190 + C ~940 + D 500 ≈ 1,750
Births ≈ 1,750 × 0.3 = 525
```

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "How many pairs can form in a group with 10% males?"
2. "How many litters does a pair have in a lifetime?"

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Pairs limited by the scarcer sex
2. Pairs per group, total
3. Births per pair per year
4. Multiply

Phrases to listen for: "Births are limited by the number of possible pairs."

EXAMPLE ANSWER, SAID OUT LOUD

> **Births are limited by the number of possible pairs**, which depends on the scarcer sex in each group. Group A: 1,250 foxes, 10% male, so 125 pairs; B about 190; C about 940; D 500: **about 1,750 pairs**. A pair mates every 5 years over a 10-year life, so 2 litters of 1.5, which is **0.3 births per pair per year**. **About 525 births.**

5 Deaths next year PARTLY ADDED

4 min

Beyond the original case: The math is the case's; splitting the question into births, deaths and change is added.

SAY

"And how many will die next year?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Disease deaths: all diseased foxes die within a year: A ~310, B 250, C ~190, D ~60 → ~810
- [ ] Natural deaths = healthy population ÷ 10
- [ ] Healthy: 940 + 375 + 1,685 + 1,190 ≈ 4,190 → ~420
- [ ] Total ≈ 1,230

ANSWER KEY, DON'T SHOW

```
Disease: A 1,250×25% ≈ 310, B 625×40% = 250, C 1,875×10% ≈ 190, D 1,250×5% ≈ 60 → ~810
Healthy: 940 + 375 + 1,685 + 1,190 ≈ 4,190 → natural deaths ≈ 4,190 ÷ 10 ≈ 420
Total ≈ 1,230
```

The original prints 1,865 for Group C's healthy foxes; the correct figure is 1,685 (the total, ~4,190, is right).

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "Which foxes die from disease, and which die naturally?"

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Disease deaths by group
2. Healthy population ÷ life expectancy
3. Total

Phrases to listen for: "Two kinds of deaths."

EXAMPLE ANSWER, SAID OUT LOUD

> **Two kinds of deaths.** **Disease**: diseased foxes live only a year, so all of them die: about 310 in A, 250 in B, 190 in C and 60 in D, **about 810**. **Natural deaths**: the healthy population, about 4,190, divided by a 10-year life expectancy, **about 420**. **So about 1,230 deaths.**

6 Population change

2–3 min

SAY

"So by how much would you expect the population to decline next year, and what does that tell you?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Δ = 525 − 810 − 420 ≈ −705 ≈ −14%
- [ ] A 14% yearly decline is highly concerning
- [ ] Without the disease: 525 births vs. 500 natural deaths ≈ +0.5%: roughly stable
- [ ] Actions: cure the disease, separate diseased foxes, find and remove its source; fix the gender imbalance to restore males in A, B, D

ANSWER KEY, DON'T SHOW

`Δ = 525 − 810 − 420 ≈ −705 ≈ −14% of 5,000`

Without the disease the population would be about stable (525 − 500 = +25, +0.5%). So: reduce disease deaths (cures, isolating diseased foxes, removing the source) and increase births (restore males in groups A, B and D).

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Births − deaths = change, as a %

2. Verdict
3. Counterfactual without the disease
4. Actions

Phrases to listen for: "So what: without the disease, the population would be stable."

EXAMPLE ANSWER, SAID OUT LOUD

> 525 births minus 1,230 deaths is **about minus 705, a 14% decline in one year**. **That's alarming.** **So what**: without the disease, births of 525 would roughly match 500 natural deaths, so the population would be stable. **The priority is the disease**: find cures, separate diseased foxes, and remove its source; **then restore males** in groups A, B and D to increase births.

7 Public statement

1 min

SAY

"The chairman of CWF has an upcoming public statement and would like a 30-second synopsis of key findings to share with the local community. What would you tell her?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Restates the question
- [ ] Finding: ~14% decline a year, mostly from the disease (life expectancy 10 → 1 year) and gender imbalance
- [ ] Next steps: a cure-and-eradicate plan (capital and time), and a root-cause analysis of the gender imbalance
- [ ] Short and suitable for the public

ANSWER KEY, DON'T SHOW

"You asked us what's causing the dramatic decline in the swift fox population, and how to stop it. We found the population is declining about 14% a year, mostly because of a gastrointestinal disease that cuts life expectancy from 10 years to 1, and a gender imbalance between groups. Over the next couple of weeks we'll build a plan to cure and eradicate the disease, with the capital and time required, and analyze the root cause of the gender imbalance to design a rebalancing strategy."

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Restate the question
2. Key finding in plain words
3. What happens next

Phrases to listen for: "Over the next two weeks, we'll..."

EXAMPLE ANSWER, SAID OUT LOUD

> **You asked us what's causing the swift fox decline and how to stop it.** The population is falling about 14% a year, mainly because of a gastrointestinal disease that cuts a fox's life from ten years to one, and because the highways have left some groups with too few males. **Over the next two weeks**, we'll build a plan to cure and eradicate the disease, with the time and funding it needs, and identify why the genders are imbalanced so we can rebalance them.

▼ Show the full sample interview

INTERVIEWER

"Your client is the Canadian Wildlife Federation (CWF), a government-affiliated non-profit that aims to educate Canadians about wildlife and promote responsible human actions and conservation."

"One endangered species, the swift fox, has been declining dramatically."

"CWF has asked your firm to help figure out what's causing this decline, and what they can do to stop it declining any further."

> CANDIDATE
>
> **Let me make sure I understand.** CWF is a government-affiliated conservation non-profit. The endangered swift fox population has been falling dramatically, and **CWF wants to know why, and how to stop it**. Could I ask: has it always been falling? Has anything changed recently in their habitat, such as disease or hunting? And is there a recovery target?

INTERVIEWER · FRAMEWORK

"What factors would you consider to answer the client's questions?"

> CANDIDATE
>
> **A population changes through births, deaths and migration, so I'd use those three buckets.** **Fewer births**: worse health, or a gender imbalance that limits pairs. **More deaths**: hunting, shortages of food, water or shelter, or disease. **Higher net migration**: foxes leaving because their habitat was destroyed or changed, or because of human interference. **Given the new disease outbreak, I'd start with deaths.** **Does that sound good?**

INTERVIEWER · READING THE EXHIBITS

"The swift fox population was split into four groups by new interprovincial highways built five years ago. We've gathered this data on each group's habitat and demographics. What can you conclude from these exhibits?"

Exhibit 1. Current swift fox habitat

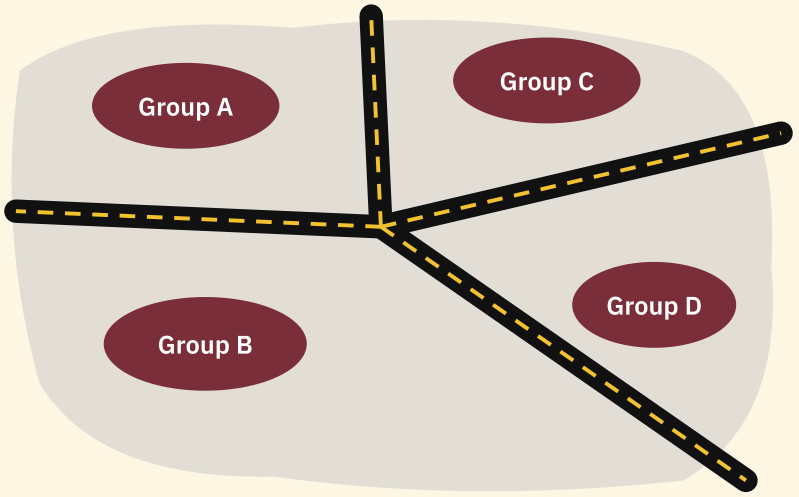


Exhibit 2. Swift fox demographics by group

Group	Fraction of population	% male	% female	% affected by disease
A	1/4	10%	90%	25%
B	1/8	30%	70%	40%
C	3/8	50%	50%	10%
D	1/4	40%	60%	5%

CANDIDATE

Two things stand out. **First, gender imbalance**: only Group C is 50-50; Groups A, B and D have far more females, Group A only 10% male. That limits pairs and births, and the highways may be the cause, perhaps because males roam further and die crossing them. **Second, disease**: rates are high and uneven, 40% in B and 25% in A, with no link to group size or gender, perhaps tied to the environment on each side of the highway. **So the decline seems driven by disease and gender imbalance.**

INTERVIEWER · BIRTHS NEXT YEAR

"The client is curious how much the disease and the gender disparity matter for the overall population. Let's build it up. How many foxes will be born next year?"

- There are **5,000** swift foxes
- Swift foxes choose only one mate for life
- Mating season is once a year (1 litter), but pairs mate once every **five** years
- Diseased foxes can give birth
- The average litter yields **1.5** foxes

- All deaths not caused by disease are natural
- Life expectancy is **10 years**, but foxes with the disease live only **one** year
- Net migration is zero

CANDIDATE

Births are limited by the number of possible pairs, which depends on the scarcer sex in each group. Group A: 1,250 foxes, 10% male, so 125 pairs; B about 190; C about 940; D 500: **about 1,750 pairs**. A pair mates every 5 years over a 10-year life, so 2 litters of 1.5, which is **0.3 births per pair per year**. **About 525 births.**

INTERVIEWER · DEATHS NEXT YEAR

"And how many will die next year?"

CANDIDATE

Two kinds of deaths. **Disease**: diseased foxes live only a year, so all of them die: about 310 in A, 250 in B, 190 in C and 60 in D, **about 810**. **Natural deaths**: the healthy population, about 4,190, divided by a 10-year life expectancy, **about 420**. **So about 1,230 deaths.**

INTERVIEWER · POPULATION CHANGE

"So by how much would you expect the population to decline next year, and what does that tell you?"

CANDIDATE

525 births minus 1,230 deaths is **about minus 705, a 14% decline in one year**. **That's alarming.** **So what**: without the disease, births of 525 would roughly match 500 natural deaths, so the population would be stable. **The priority is the disease**: find cures, separate diseased foxes, and remove its source; **then restore males** in groups A, B and D to increase births.

INTERVIEWER · PUBLIC STATEMENT

"The chairman of CWF has an upcoming public statement and would like a 30-second synopsis of key findings to share with the local community. What would you tell her?"

CANDIDATE

You asked us what's causing the swift fox decline and how to stop it. The population is falling about 14% a year, mainly because of a gastrointestinal disease that cuts a fox's life from ten years to one, and because the highways have left some groups with too few males. **Over the next two weeks**, we'll build a plan to cure and eradicate the disease,

> with the time and funding it needs, and identify why the genders are imbalanced so we can rebalance them.

Score this case

Use the ticks above and the rubric. 3 = would pass.

Structure 1 2 3 4 5

Clear, tailored framework?

Math 1 2 3 4 5

Correct, clean, said out loud?

Business sense 1 2 3 4 5

Found the insight, said "so what"?

Communication 1 2 3 4 5

Answer-first, clear, confident?

Drive 1 2 3 4 5

Led the case; few hints needed?

Total: — / 25

2 STRENGTHS · 2 THINGS TO FIX

Strength: ... / Fix: ...

CASE 6 OF 7

Clean-All

Growth strategy | Easy | ~30 min

WHAT THIS CASE IS ABOUT (READ THIS YOURSELF)

A Nigerian laundry chain has stopped growing as start-ups take share. The candidate structures growth options, prioritizes value-added services from an exhibit, evaluates free pick-up and drop-off, compares delivery costs (in-house vs. two agencies), and recommends.

THE ANSWER IN ONE LINE, DON'T SHOW

Only **free pick-up & drop-off** meets the **10% a year** growth goal (and it's the cheapest to launch), though it has a −2% margin. Delivery cost per trip: own **$15**, Agency A **$11.67**, Agency B **$11.08** → outsource to **Agency B** (check service quality). Recommend launching it, perhaps limited to larger orders to protect margins.

1 Read the prompt

2–3 min

SAY

"Clean-All, a fast-growing private company in Nigeria, runs laundry outlets in 5 regions. It does machine washing, hand washing of delicate clothes, and ironing."

"The company started ten years ago and grew very quickly almost every year, but for the last 2 years growth has plateaued. Five years ago there were only 5 players; recently many new laundry start-ups entered and took market share from traditional players like Clean-All."

"Clean-All's leadership has asked you to advise on possible revenue growth strategies. What factors would you consider?"

"Do you have any questions before you start?"

IF THEY ASK… YOU ANSWER

What's the growth goal?	"The owners want tactical growth initiatives that increase the top line by at least 10% year-on-year for 3 to 5 years."
What are the start-ups doing differently? ADDED	"We'll look at that shortly."
Can Clean-All invest? ADDED	"Yes, they have funds to invest."
Anything else	"Not important for this case. Make an assumption."

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Plays back: laundry chain, growth plateaued, start-ups taking share
- [ ] Asks for the goal (≥10% a year for 3–5 years)

▼ Show example answer

EXAMPLE ANSWER, SAID OUT LOUD

> To recap: Clean-All is a Nigerian laundry chain in 5 regions, offering machine washing, hand washing and ironing. It grew fast for years but has plateaued for two, as start-ups took share. They want revenue growth strategies. Could I ask: is there a specific growth target and timeframe?

2 Framework

2–3 min

SAY

"How would you structure your approach to the question?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Grow the core: more stores, more customers per store, more spend per customer
- [ ] Grow in new areas: new services under the brand, a new operating model like the start-ups'

FULL LIST FROM THE ORIGINAL CASE: TICK WHAT THEY COVERED

- [ ] Core: open more stores (new cities)
- [ ] Core: more customers per store (marketing, deals)
- [ ] Core: more spend per customer (price, bundles, up-selling, loyalty)
- [ ] New: new product or service line (repairs, dry-cleaning)
- [ ] New: new operating model vs. start-ups (pick-up and drop-off)

ASK IF THEIR ANSWER IS THIN

- "How could existing stores make more?"
- "What are the start-ups offering that we don't?"

ANSWER KEY, DON'T SHOW

1. Grow the core: more stores (new cities), more customers per store (marketing, deals), more spend per customer (price, bundles, up-selling, loyalty). **2. Grow in new areas**: new service lines (clothing repairs, dry-cleaning), a new operating model to compete with start-ups (pick-up and drop-off).

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Two branches: grow the core / grow in new areas
2. Core: stores, customers per store, spend per customer
3. New: services, operating model
4. Check in

Phrases to listen for: "I'd look at two ways to grow."

EXAMPLE ANSWER, SAID OUT LOUD

> **I'd look at two ways to grow.** **First, grow the core**: open more stores in new cities, bring more customers into each store through marketing and deals, and raise spend per customer through pricing, bundles, up-selling and loyalty. **Second, grow in new areas**: new services under our brand, like repairs or dry-cleaning, or a new operating model, like the start-ups' pick-up and drop-off. **Does that sound good?**

▼ Book's 8-bucket version also counts

If the candidate uses the 8 buckets from *Hacking the Case Interview*, this is a strong version. Credit it like the casebook's framework.

Customer segmentation & needs

- What start-ups' customers value

Competitive landscape

- New start-ups and their services
- Share lost

Financial considerations

- Growth vs. 10% goal
- Margin and capex of each option

(convenience)
- Spend and frequency per customer

Company capabilities
- Store network
- Existing paid delivery service

The case's 'grow the core / grow in new areas' is a growth tree. The book's Competitive bucket points you to copying the start-ups' services early.

3 Prioritizing services

4 min

SAY

"Your team's research shows the industry is changing fast: new start-ups offer value-added services that lure customers in. This exhibit shows those services, and the cost and profit potential if Clean-All offered the same. Which should Clean-All consider the highest priority?"

HOW TO STEER

- Original case: the revenue impact is the impact on Clean-All. There's no single right answer.
- If the candidate hasn't asked for the growth goal (10% a year), share it now as they consider their answer.

GIVE ONLY WHEN: RIGHT AWAY (EXHIBIT 1).

Exhibit 1. Impact of offering additional services

Value-added service	Capex ($)	Revenue impact (% a year)	Profit margin (%)
Tech assets (app, website...)	200,000	3	0
Free pick-up & drop-off*	100,000	10	−2
Clothing sanitization	300,000	3	2
Shoe shine	500,000	4	3

* A paid version is currently offered by Clean-All.

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Compares on growth, profit and investment
- [ ] Shoe shine: best margin, but not enough growth and highest capex
- [ ] Sanitization: cheaper, decent, but below 10%
- [ ] Only free pick-up & drop-off meets the 10% goal, with the lowest capex, but a negative margin
- [ ] Picks pick-up & drop-off and says the margin must be fixed

ANSWER KEY, DON'T SHOW

Shoe shine looks best on profit, but its growth isn't enough and capex is high. Sanitization is cheaper with decent growth and profit but misses 10%. **Only free pick-up and drop-off meets the 10% growth goal**, with low investment, but it's margin-negative, so we'd explore ways to improve that.

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "Which of these meets the owners' growth goal?"

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Criteria: growth, profit, investment
2. Run each option through them
3. Which meets the 10% goal
4. The catch, and what to do about it

Phrases to listen for: "Only free pick-up and drop-off reaches 10% growth."

EXAMPLE ANSWER, SAID OUT LOUD

> **I'd compare them on growth, profit and investment, against the 10% goal.** Shoe shine has the best margin, but only 4% growth and the highest cost. Sanitization is cheaper with a positive margin, but 3% growth. **Only free pick-up and drop-off reaches 10% growth**, and it's the cheapest to launch. **The catch is its -2% margin**, so I'd prioritize it while finding ways to make it profitable.

4 Evaluating pick-up

3 min

SAY

"Clean-All is most interested in free pick-up and drop-off because of its revenue impact. How could you evaluate whether launching it would be a good idea?"

HOW TO STEER

- Original case: financial attractiveness was covered in the previous question, and assume Clean-All can invest. Once they answer, direct them to operational capability.

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Financial attractiveness: revenue and profit impact
- [ ] Feasibility: ability to invest and absorb lower profit
- [ ] Operational capability, and whether current operations can handle more demand
- [ ] Notes they already run a paid version

ANSWER KEY, DON'T SHOW

Financial attractiveness: revenue impact (meets 10%), profit impact (negative, so improve it). **Feasibility**: ability to invest and absorb the margin hit; operational capability. They already offer a paid version, so capability is likely there, but can operations cope with more demand?

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Financial attractiveness
2. Feasibility: money and operations
3. What we already know (paid version)

Phrases to listen for: "I'd evaluate it on two dimensions."

EXAMPLE ANSWER, SAID OUT LOUD

> **I'd evaluate it on two dimensions.** **Financial attractiveness**: it meets the growth goal, but profit is negative, so we need ways to improve the economics. **Feasibility**: can Clean-All invest and absorb the margin hit, and does it have the operational capability? **Since it already runs a paid version, capability is likely there**; the question is whether operations can handle much more demand.

5 Delivery cost

5 min

SAY

"To make pick-up and drop-off free, Clean-All must cut its operating cost drastically. Today one delivery (either a pick-up or a drop-off) costs $15. Clean-All got quotes from specialist agencies. Should it keep running deliveries itself or outsource to one of these agencies?"

GIVE ONLY WHEN: RIGHT AWAY (EXHIBIT 2). WHEN ASKED: EACH COURIER DOES 8 TRIPS A WEEKDAY, AND DOUBLE (16) ON WEEKEND DAYS.

Exhibit 2. Agency quotes

Trips per courier per day	Agency A		Agency B	
	Fixed daily fee	Per trip	Fixed daily fee	Per trip
<5	$100	$5	$80	$6
5–10	$90	$4	$70	$5
11–15	$80	$3	$60	$4
15+	$75	$2.50	$60	$4

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Asks how many trips per courier per day
- [ ] Agency A: weekdays 5 × (90 + 4×8) = $610; weekends 2 × (75 + 2.5×16) = $230 → $840 ÷ 72 trips ≈ $11.67
- [ ] Agency B: weekdays 5 × (70 + 5×8) = $550; weekends 2 × (60 + 4×16) = $248 → $798 ÷ 72 ≈ $11.08
- [ ] Both beat $15; Agency B is cheapest
- [ ] Caveats: check service quality; A is cheaper on busy weekends

IF THEY SAY… YOU SAY

Uses one rate for all days	"Is the number of trips the same every day?"
Forgets the fixed daily fee	"What does each agency charge per day regardless of trips?"

ANSWER KEY, DON'T SHOW

```
Agency A: 5×(90+4×8) + 2×(75+2.5×16) = 610 + 230 = $840 / 72 trips ≈ $11.67
Agency B: 5×(70+5×8) + 2×(60+4×16) = 550 + 248 = $798 / 72 trips ≈ $11.08
Own network: $15
```

Agency B is cheapest, but service quality must be checked. Agency A is cheaper on weekends; if weekday volume grows, switching may make sense.

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "How many trips a week, weekdays and weekends?"
2. "Which price bracket applies to 8 trips? To 16?"

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Trips per week (weekdays, weekends)
2. Cost of each agency: fixed + per trip
3. Cost per delivery for each
4. Compare with $15, pick one, add caveats

Phrases to listen for: "I'll compare cost per delivery for each option." · "So I'd outsource to Agency B, after checking its service quality."

EXAMPLE ANSWER, SAID OUT LOUD

> **I'll compare cost per delivery for each option.** Each courier does 8 trips a weekday and 16 on weekend days, so 72 trips a week. **Agency A**: weekdays 5 times $90 plus $32, $610; weekends 2 times $75 plus $40, $230; $840 for 72 trips, **about $11.67**. **Agency B**: $550 on weekdays plus $248 on weekends, $798, **about $11.08**. Both beat our $15, **so I'd outsource to Agency B**, after checking its service quality. Agency A is cheaper on busy weekends, which matters if volume grows.

6 Making it succeed

3 min

SAY

"What else should Clean-All consider to make the pick-up and drop-off service a success?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Structures: customer satisfaction vs. operational success
- [ ] Several concrete ideas in each

FULL LIST FROM THE ORIGINAL CASE: TICK WHAT THEY COVERED

- [ ] Customer: app or website to track orders and deliveries
- [ ] Customer: 5-star service, e.g. 24/7 phone line
- [ ] Customer: elite branding customers are proud of
- [ ] Operations: capability for good delivery times
- [ ] Operations: flexible capacity (partners, back-up agency for spikes)
- [ ] Operations: extra cash (delivering paid advertising flyers)
- [ ] Operations: branded courier outfits and packaging

ASK IF THEIR ANSWER IS THIN

- "What would make customers love this service?"
- "What happens on a very busy day?"

ANSWER KEY, DON'T SHOW

Customer satisfaction: tracking app or website, great customer service (24/7 line), elite branding.
Operational success: delivery-time capability, flexible capacity with partners or a back-up agency, extra revenue (paid flyers in deliveries), branded outfits and packaging.

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Two groups: customers / operations
2. 3–4 ideas each

Phrases to listen for: "I'd focus on two things."

EXAMPLE ANSWER, SAID OUT LOUD

> **I'd focus on two things.** **Customer satisfaction**: an app to track orders, excellent service like a 24/7 line, and a premium brand people are proud of. **Operational success**: reliable delivery times, back-up capacity from a second agency for peaks, extra income such as paid flyers in deliveries, and branded courier uniforms and packaging.

7 Recommendation

1–2 min

SAY

"What action do you recommend Clean-All takes to grow the business?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Answer first: launch free pick-up and drop-off
- [ ] Reasons: meets 10% growth; competitors offer it; cheapest to implement
- [ ] Caveat: it hurts profit; limit to larger orders
- [ ] Next steps: due diligence on Agency B; analyze the other services further

ANSWER KEY, DON'T SHOW

"Clean-All asked us for growth strategies delivering 10% a year. We recommend a free pick-up and drop-off service, for three reasons: it's expected to grow revenue 10% a year; competitors offer it, so it keeps Clean-All relevant; and it's the cheapest option to implement. As structured, it will eat into profit, so Clean-All might limit it to larger orders. With more time, I'd do due diligence on Agency B's ability to deliver laundry, and analyze the other value-added services further."

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Restate and answer
2. Three reasons
3. The caveat (margin)
4. Next steps

Phrases to listen for: "We recommend..., for three reasons."

EXAMPLE ANSWER, SAID OUT LOUD

> **Clean-All asked for ways to grow revenue 10% a year. We recommend launching free pick-up and drop-off, for three reasons.** It's expected to grow revenue 10% a year; competitors offer it, so it keeps Clean-All relevant; and it's the cheapest option to implement. **It will reduce profit as structured**, so Clean-All could limit it to larger orders and outsource delivery to Agency B. **Next steps**: due diligence on Agency B, and a closer look at the other services.

▼ Show the full sample interview

INTERVIEWER

"Clean-All, a fast-growing private company in Nigeria, runs laundry outlets in 5 regions. It does machine washing, hand washing of delicate clothes, and ironing."

"The company started ten years ago and grew very quickly almost every year, but for the last 2 years growth has plateaued. Five years ago there were only 5 players; recently many new laundry start-ups entered and took market share from traditional players like Clean-All."

"Clean-All's leadership has asked you to advise on possible revenue growth strategies. What factors would you consider?"

> CANDIDATE
>
> **To recap**: Clean-All is a Nigerian laundry chain in 5 regions, offering machine washing, hand washing and ironing. It grew fast for years but has plateaued for two, as start-ups took share. **They want revenue growth strategies.** Could I ask: is there a specific growth target and timeframe?

INTERVIEWER · FRAMEWORK

"How would you structure your approach to the question?"

> CANDIDATE
>
> **I'd look at two ways to grow.** **First, grow the core**: open more stores in new cities, bring more customers into each store through marketing and deals, and raise spend per

customer through pricing, bundles, up-selling and loyalty. **Second, grow in new areas**: new services under our brand, like repairs or dry-cleaning, or a new operating model, like the start-ups' pick-up and drop-off. **Does that sound good?**

INTERVIEWER · PRIORITIZING SERVICES

"Your team's research shows the industry is changing fast: new start-ups offer value-added services that lure customers in. This exhibit shows those services, and the cost and profit potential if Clean-All offered the same. Which should Clean-All consider the highest priority?"

Exhibit 1. Impact of offering additional services

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CANDIDATE

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INTERVIEWER · EVALUATING PICK-UP

"Clean-All is most interested in free pick-up and drop-off because of its revenue impact. How could you evaluate whether launching it would be a good idea?"

CANDIDATE

I'd evaluate it on two dimensions. **Financial attractiveness**: it meets the growth goal, but profit is negative, so we need ways to improve the economics. **Feasibility**: can Clean-All invest and absorb the margin hit, and does it have the operational capability? **Since it already runs a paid version, capability is likely there**; the question is whether operations can handle much more demand.

INTERVIEWER · DELIVERY COST

"To make pick-up and drop-off free, Clean-All must cut its operating cost drastically. Today one delivery (either a pick-up or a drop-off) costs $15. Clean-All got quotes from specialist

agencies. Should it keep running deliveries itself or outsource to one of these agencies?"

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CANDIDATE

I'll compare cost per delivery for each option. Each courier does 8 trips a weekday and 16 on weekend days, so 72 trips a week. **Agency A**: weekdays 5 times $90 plus $32, $610; weekends 2 times $75 plus $40, $230; $840 for 72 trips, **about $11.67**. **Agency B**: $550 on weekdays plus $248 on weekends, $798, **about $11.08**. Both beat our $15, **so I'd outsource to Agency B**, after checking its service quality. Agency A is cheaper on busy weekends, which matters if volume grows.

INTERVIEWER · MAKING IT SUCCEED

"What else should Clean-All consider to make the pick-up and drop-off service a success?"

CANDIDATE

I'd focus on two things. **Customer satisfaction**: an app to track orders, excellent service like a 24/7 line, and a premium brand people are proud of. **Operational success**: reliable delivery times, back-up capacity from a second agency for peaks, extra income such as paid flyers in deliveries, and branded courier uniforms and packaging.

INTERVIEWER · RECOMMENDATION

"What action do you recommend Clean-All takes to grow the business?"

CANDIDATE

Clean-All asked for ways to grow revenue 10% a year. We recommend launching free pick-up and drop-off, for three reasons. It's expected to grow revenue 10% a year; competitors offer it, so it keeps Clean-All relevant; and it's the cheapest option to implement. **It will reduce profit as structured**, so Clean-All could limit it to larger orders and outsource delivery to Agency B. **Next steps**: due diligence on Agency B, and a closer look at the other services.

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Answer-first, clear, confident?

Drive 1 2 3 4 5

Led the case; few hints needed?

Total: — / 25

2 STRENGTHS · 2 THINGS TO FIX

Strength: ... / Fix: ...

CASE 7 OF 7

A-EYE

Pricing | Medium | ~30 min

WHAT THIS CASE IS ABOUT (READ THIS YOURSELF)

An AI company has a camera system that spots manufacturing defects, and must price it for a wind-turbine blade maker. The candidate structures pricing (willingness to pay, costs, competition), calculates the customer's current rework cost, sets a subscription price that still saves the customer 25%, then protects market share and finds new applications.

THE ANSWER IN ONE LINE, DON'T SHOW

Breeze's rework costs **$5.4M a year** (20 late defects × 3 layers × $90k). With AI, late defects halve → **$2.7M**; no QA crew; $1M install amortized at $100k/yr. To deliver 25% savings on $5.7M (→ $4.275M), A-EYE can charge up to **$1,475,000 a year**. Protect share with contracts, switching costs and better product rather than price cuts; expand to solar, batteries, other manufacturing and inspection uses.

1 Read the prompt

2–3 min

SAY

"Your client, A-EYE, has developed an extremely efficient AI visual anomaly detection (VAD) system that can detect manufacturing defects. A wind turbine manufacturer, Breeze, is interested."

"The system can detect defects such as nicks and scratches on a wind turbine during manufacturing and automatically flag them. A-EYE specifically wants to use it to minimize defects while carbon fiber is layered onto Breeze's turbine blades."

"This is A-EYE's first wind turbine blade client, and they need your help pricing the solution."

"Do you have any questions before you start?"

IF THEY ASK… YOU ANSWER

How are the blades made?	"Breeze's turbines have 3 blades, each 52 meters (170 ft) long, made of 30 layers of carbon fiber composite over a steel scaffolding."
How does the system work?	"A camera on a fixed rail inspects the entire length of the blade; the images feed an AI model, which notifies workers of any defect."
What's A-EYE's goal?	"To become the largest player in the industry, with the largest market share, and a long-term partner to top players like Breeze in sustainability and renewables."
Where are the companies?	"Breeze is in Oslo, Norway; A-EYE is in Montreal, Canada."
How big is A-EYE?	"A small-to-medium AI company with about 100 employees."
Anything else	"Not important for this case. Make an assumption."

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Plays back: price an AI defect-detection system for its first wind-blade client
- [ ] Asks A-EYE's goal (market share, long-term partner)
- [ ] Asks how blades are made and how the system works

▼ Show example answer

EXAMPLE ANSWER, SAID OUT LOUD

> **Let me make sure I understand.** A-EYE has an AI system that spots manufacturing defects, and needs to price it for its first wind-turbine client, Breeze, to catch defects as carbon fiber is layered onto blades. **The question is what price to charge.** Could I ask: what's A-EYE's goal with this client? How are the blades made? And how does the system work in practice?

2 Framework

3 min

SAY

"What are the key considerations when pricing this solution?"

HOW TO STEER

- Original case: candidates may default to the 3 generic pricing methods (willingness to pay, cost, competition). Push them to specify how they'd assess each, tailored to this product and client.

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Breeze's willingness to pay: current costs vs. net benefit (less inspection labor, less rework, fewer returns; happier customers, more capacity)
- [ ] Payment model Breeze could accept: subscription vs. one-off purchase
- [ ] A-EYE's costs and profit ambition: installation, running costs, fixed central costs, margin
- [ ] Competition: similar products and their pricing, upcoming launches, moats

FULL LIST FROM THE ORIGINAL CASE: TICK WHAT THEY COVERED

- [ ] WTP: Breeze's current cost and benefit (status quo)
- [ ] WTP: net benefit, lower costs (inspection labor, rework, returns)
- [ ] WTP: net benefit, higher revenue (satisfaction, freed-up capacity)
- [ ] Payment model: subscription
- [ ] Payment model: one-off equipment + license
- [ ] Costs: installation
- [ ] Costs: recurring cost of running the model
- [ ] Costs: fixed central (admin, R&D, sales & marketing)
- [ ] Costs: profit margin ambition
- [ ] Competition: similar products, pricing, effectiveness
- [ ] Competition: products in development
- [ ] Competition: moats and barriers to entry

ASK IF THEIR ANSWER IS THIN

- "How exactly would you measure Breeze's willingness to pay?"
- "What would Breeze save by using the system?"

IF THEY SAY... YOU SAY

Lists 'value, cost, competition' only	"How would you assess each of those for Breeze specifically?"

ANSWER KEY, DON'T SHOW

1. Breeze's willingness to pay: current cost of the status quo vs. net benefit (lower inspection labor, rework, returns; higher satisfaction and capacity), and the payment model they'd accept (subscription vs. one-off). **2. A-EYE's costs and profit ambition**: installation, running costs, fixed central costs, target margin. **3. Competitive pressure**: similar products and pricing, upcoming launches, moats.

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Three angles, tailored: Breeze's WTP, A-EYE's costs, competition
2. Make each specific (rework, labor, returns...)
3. Check in

Phrases to listen for: "I'd look at the price from three angles, tailored to Breeze."

EXAMPLE ANSWER, SAID OUT LOUD

> I'd look at the price from three angles, tailored to Breeze. First, Breeze's willingness to pay: what defects cost them today in inspection labor, rework and returns, how much our system saves, and whether they'd prefer a subscription or a one-off purchase. Second, A-EYE's costs and profit ambition: installation, running costs, central costs and target margin. Third, competition: similar products, upcoming launches, and our moats. Does that sound good?

▼ Book's 8-bucket version also counts

If the candidate uses the 8 buckets from *Hacking the Case Interview*, this is a strong version. Credit it like the casebook's framework.

Customer segmentation & needs

- Breeze's willingness to pay: savings vs. status quo
- Preferred payment model

Financial considerations

- A-EYE's install, running and central costs
- Margin ambition

Competitive landscape

- Similar products, launches, moats

Risks & mitigations

- Price war
- First client in a new industry

Pricing cases map to the book's three methods (customer value, cost, competition), but the case pushes you to tailor each to Breeze.

3 Rework cost today

5–6 min

SAY

"Each blade has 30 layers of carbon fiber over a steel scaffolding. Breeze's team inspects each layer during manufacturing. If a defect is caught early, before the fiber hardens, it's fixed at no extra cost. If it's caught late, after hardening, the last 3 layers must be reapplied, which costs money."

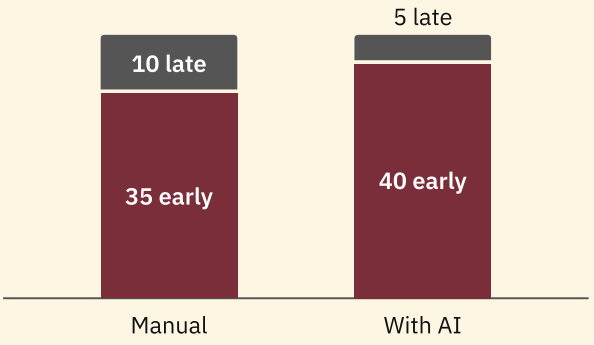
"How much does Breeze's blade rework cost today, per year?"

HOW TO STEER

- Original case: give Exhibits 1 and 2. A great question to see the candidate's quantitative thinking; push on any assumptions.

GIVE ONLY WHEN: EXHIBITS RIGHT AWAY; THE BULLET FACTS IF REQUESTED.

Exhibit 1. Carbon fiber defects per 100 blades



Early = caught before hardening (no extra cost). Late = caught after the fiber has set: 3 layers must be reworked.

Exhibit 2. Manufacturing costs

Total manufacturing cost per blade	$3,500,000
Cost of blade scaffolding	$800,000
Layers of carbon fiber	30
Layers refinished per rework	3

If requested: Breeze makes **200** blades a year; a blade's cost is only scaffolding + carbon fiber; reworking one layer costs the blade's total carbon fiber cost ÷ number of layers.

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Annual rework cost = cost per rework × reworks a year
- [ ] Cost per layer = ($3.5M − $0.8M) ÷ 30 = $90,000
- [ ] Cost per rework = 3 × $90k = $270,000
- [ ] Only late defects cost money: 10 per 100 blades → 0.1 × 200 = 20 reworks
- [ ] 20 × $270k = $5.4M

IF THEY SAY... YOU SAY

Counts early defects too	"Do early defects cost anything?"
Divides the full $3.5M by 30	"Is the scaffolding part of the carbon fiber cost?"

ANSWER KEY, DON'T SHOW

```
Cost per layer = ($3,500,000 − $800,000) ÷ 30 = $90,000
Cost per rework = 3 × $90,000 = $270,000
Reworks/year = 10/100 × 200 blades = 20
Annual rework cost = 20 × $270,000 = $5,400,000
```

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "What's the formula for the annual rework cost?"
2. "What does one layer of carbon fiber cost?"

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Formula first
2. Cost per layer → cost per rework
3. Reworks a year (late defects only)
4. Multiply

Phrases to listen for: "Annual rework cost is cost per rework times reworks a year." · "Only late defects cost money."

EXAMPLE ANSWER, SAID OUT LOUD

> **Annual rework cost is cost per rework times reworks a year.** The carbon fiber in a blade costs $3.5 million minus $0.8 million of scaffolding, $2.7 million, so **$90,000 per layer**, and a rework redoes 3 layers: **$270,000**. Only late defects cost money: 10 per 100 blades, so 20 a year on 200 blades. **20 times $270,000 is $5.4 million a year.**

4 Subscription price

5 min

SAY

"What price should A-EYE charge for an annual subscription, if their aim is to deliver Breeze total savings of 25% versus current costs?"

HOW TO STEER

- Original case: the candidate should ask for the facts below while laying out their approach. If they don't, prompt them to think about other costs.
- A very similar calculation to the last one: the key change is the detection efficiency. Guide them to price on Breeze's maximum willingness to pay, while respecting the 25% savings goal.

GIVE ONLY WHEN: AS THEY LAY OUT THEIR APPROACH (OR PROMPT THEM).

- Breeze pays **$300K** a year for a 4-person QA crew doing manual inspection
- The AI model costs **$0** to maintain
- Installation and model training cost **$1M** one-off, paid by Breeze, amortized over **10 years** (ignore cost of capital)
- Breeze's volume and costs stay constant

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Current total cost: $5.4M rework + $0.3M labor = $5.7M
- [ ] Target: 75% × $5.7M = $4.275M
- [ ] New rework: late defects halve (5 per 100) → 0.05 × 200 × $270k = $2.7M
- [ ] Amortization: $1M ÷ 10 = $100k
- [ ] Price = $4.275M − $2.7M − $0.1M = $1.475M
- [ ] Mentions extra benefits: fewer delivery delays, happier customers

IF THEY SAY… YOU SAY

Forgets the QA crew	"What other costs does Breeze have today?"
Forgets the installation cost	"Who pays for installation, and how would you spread it?"

ANSWER KEY, DON'T SHOW

```
Current: $5.4M + $0.3M = $5.7M → target 75% = $4.275M
New rework: 0.05 × 200 × $270k = $2.7M
Amortization: $1M ÷ 10 = $0.1M
Max price = 4.275 − 2.7 − 0.1 = $1.475M per year
```

Extra benefits (fewer delivery delays, higher customer satisfaction) could justify more; check competitor pricing next.

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "What will Breeze's total cost be after a 25% saving?"
2. "Which costs remain once the AI is installed?"

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Today's total cost
2. Target cost after 25% saving
3. Costs that remain with AI
4. Price = target − remaining costs
5. Mention extra benefits

Phrases to listen for: "I'll work back from Breeze's target cost."

EXAMPLE ANSWER, SAID OUT LOUD

> **I'll work back from Breeze's target cost.** Today Breeze spends $5.4 million on rework plus $300,000 on inspectors, **$5.7 million**. A 25% saving means **$4.275 million**. With AI, late defects halve, so rework falls to **$2.7 million**, the inspectors aren't needed, and installation adds **$100,000 a year**. **So A-EYE can charge up to about $1.475 million a year.** And fewer delivery delays and happier customers could justify more.

5 Protecting market share

3–4 min

SAY

"A competitor is expected to enter with a similarly priced solution. What are some ways A-EYE can protect its market share?"

HOW TO STEER

- Original case: test for comprehensiveness. Lowering the price is possible but not ideal: service costs are near zero for both, so it could start a price war.

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Retain clients: long-term contracts, switching costs, compete on value
- [ ] Increase sales and marketing
- [ ] Join forces with the competitor
- [ ] Diversify
- [ ] Says why a price cut is risky

FULL LIST FROM THE ORIGINAL CASE: TICK WHAT THEY COVERED

- [ ] Lock in clients with long-term contracts
- [ ] Switching costs: integrate with other manufacturing software
- [ ] Switching costs: model improves with historical data
- [ ] Switching costs: limit data export
- [ ] Compete: better performance
- [ ] Compete: outstanding customer service
- [ ] Compete: new features
- [ ] Compete: solutions for other process steps (e.g. scaffolding)
- [ ] Lower prices (risk of price war)
- [ ] Increase sales & marketing
- [ ] Partner with, acquire or merge with the competitor
- [ ] Diversify into new applications

ASK IF THEIR ANSWER IS THIN

- "How could A-EYE make it hard for Breeze to switch?"
- "Why might cutting the price be dangerous here?"

ANSWER KEY, DON'T SHOW

1. Retain clients: long-term contracts; make switching hard (software integration, a model that improves with history, limited data export); compete on performance, service, features and adjacent processes; lower prices only as a last resort. **2. More sales & marketing. 3. Join forces** with the competitor. **4. Diversify** into new applications.

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Why not price first
2. Retain clients: contracts, switching costs, value

3. Sales & marketing; join forces; diversify

Phrases to listen for: "I'd avoid leading with a price cut."

EXAMPLE ANSWER, SAID OUT LOUD

> **I'd avoid leading with a price cut**: both companies' costs are near zero, so it could start a price war. Instead: **retain clients** with long-term contracts and higher switching costs, by integrating with their software, improving the model on their data, and limiting data export; **compete on value** with better performance, service and features; **step up sales and marketing**; consider **partnering with or acquiring** the competitor; and **diversify** into new applications.

6 Other applications

3 min

SAY

"What are some other areas where A-EYE could apply and market its AI technology?"

HOW TO STEER

- Original case: share that the model learns the 'good' state from images and flags any difference. This question tests creativity and communication.

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Structures: manufacturing defects vs. object identification
- [ ] Many concrete examples

FULL LIST FROM THE ORIGINAL CASE: TICK WHAT THEY COVERED

- [ ] Defects, sustainability: solar panels, batteries
- [ ] Defects, other manufacturing: defence and space
- [ ] Defects: electronics
- [ ] Defects: automotive
- [ ] Defects: energy, consumer, other advanced industries
- [ ] Identification, process industries: waste management
- [ ] Identification: agriculture
- [ ] Identification: food production
- [ ] Identification: medical scans (X-ray)
- [ ] Identification: emissions control
- [ ] Applications: self-driving cars
- [ ] Applications: augmented reality
- [ ] Applications: smart cities

ASK IF THEIR ANSWER IS THIN

- "Where else do people inspect things visually today?"

ANSWER KEY, DON'T SHOW

1. Manufacturing defects: sustainability (solar panels, batteries); other manufacturing (defence and space, electronics, automotive, energy, consumer). **2. Object identification**: process industries (waste, agriculture, food, medical scans, emissions control) and applications (self-driving cars, AR, smart cities).

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Explain why it transfers
2. Group 1: manufacturing defects
3. Group 2: object identification
4. Examples in each

Phrases to listen for: "Because the model learns what 'good' looks like, it can go almost anywhere."

EXAMPLE ANSWER, SAID OUT LOUD

> Because the model learns what 'good' looks like and flags differences, it can go almost anywhere. Manufacturing defects: solar panels and batteries, then electronics, automotive, aerospace and defence, energy and consumer goods. Object

> **identification**: waste sorting, agriculture, food production, medical scans and emissions monitoring, and further out, self-driving cars, augmented reality and smart cities.

7 Recommendation

1–2 min

SAY

"What is your overall recommendation at this stage?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Answer first: price at ~$1.475M a year
- [ ] Based on Breeze's savings and the 25% goal
- [ ] Extra benefits could support a higher price
- [ ] Protect share: contracts, switching costs, better product
- [ ] Expand into other manufacturing and inspection uses

ANSWER KEY, DON'T SHOW

"We were asked to help A-EYE price its anomaly-detection solution for Breeze. Based on the savings it generates, Breeze's willingness to pay and A-EYE's goal of saving Breeze 25%, we recommend an annual subscription of about $1.475M. That ignores extra benefits like fewer delivery delays and happier customers, which could support a higher price. To protect against the new competitor, A-EYE should lock in long-term contracts, make switching harder and keep improving the product, using price cuts only as a last resort. It should also expand into other manufacturing processes, inside and outside sustainability, and into process industries and new applications."

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Answer first: the price
2. Why it works for both sides
3. Defend: contracts, switching, product
4. Grow: new markets

Phrases to listen for: "We recommend pricing the solution at about..."

EXAMPLE ANSWER, SAID OUT LOUD

> **We recommend pricing the solution at about $1.475 million a year.** That still saves Breeze 25% on its defect-related costs, and it doesn't yet count benefits like fewer delivery delays, which could support more. **To defend against the new competitor**, A-EYE should lock in long-term contracts, raise switching costs and keep improving the

> product, rather than cutting price. **To grow**, it should take the technology to other manufacturing and inspection markets, starting with solar panels and batteries.

▼ Show the full sample interview

INTERVIEWER

"Your client, A-EYE, has developed an extremely efficient AI visual anomaly detection (VAD) system that can detect manufacturing defects. A wind turbine manufacturer, Breeze, is interested."

"The system can detect defects such as nicks and scratches on a wind turbine during manufacturing and automatically flag them. A-EYE specifically wants to use it to minimize defects while carbon fiber is layered onto Breeze's turbine blades."

"This is A-EYE's first wind turbine blade client, and they need your help pricing the solution."

> CANDIDATE
>
> **Let me make sure I understand.** A-EYE has an AI system that spots manufacturing defects, and needs to price it for its first wind-turbine client, Breeze, to catch defects as carbon fiber is layered onto blades. **The question is what price to charge.** Could I ask: what's A-EYE's goal with this client? How are the blades made? And how does the system work in practice?

INTERVIEWER · FRAMEWORK

"What are the key considerations when pricing this solution?"

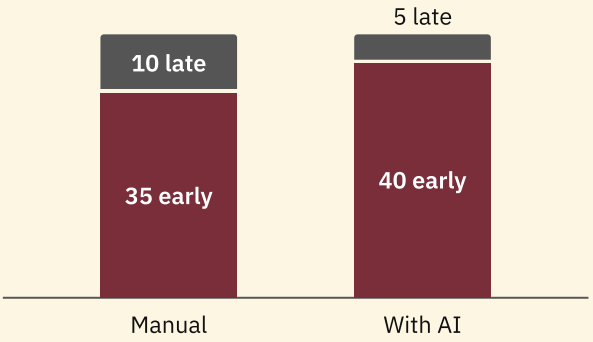
> CANDIDATE
>
> **I'd look at the price from three angles, tailored to Breeze.** **First, Breeze's willingness to pay**: what defects cost them today in inspection labor, rework and returns, how much our system saves, and whether they'd prefer a subscription or a one-off purchase. **Second, A-EYE's costs and profit ambition**: installation, running costs, central costs and target margin. **Third, competition**: similar products, upcoming launches, and our moats. **Does that sound good?**

INTERVIEWER · REWORK COST TODAY

"Each blade has 30 layers of carbon fiber over a steel scaffolding. Breeze's team inspects each layer during manufacturing. If a defect is caught early, before the fiber hardens, it's fixed at no extra cost. If it's caught late, after hardening, the last 3 layers must be reapplied, which costs money."

"How much does Breeze's blade rework cost today, per year?"

Exhibit 1. Carbon fiber defects per 100 blades



Early = caught before hardening (no extra cost). Late = caught after the fiber has set: 3 layers must be reworked.

Exhibit 2. Manufacturing costs

Total manufacturing cost per blade	$3,500,000
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If requested: Breeze makes **200** blades a year; a blade's cost is only scaffolding + carbon fiber; reworking one layer costs the blade's total carbon fiber cost ÷ number of layers.

CANDIDATE

Annual rework cost is cost per rework times reworks a year. The carbon fiber in a blade costs $3.5 million minus $0.8 million of scaffolding, $2.7 million, so **$90,000 per layer**, and a rework redoes 3 layers: **$270,000**. Only late defects cost money: 10 per 100 blades, so 20 a year on 200 blades. **20 times $270,000 is $5.4 million a year.**

INTERVIEWER · SUBSCRIPTION PRICE

"What price should A-EYE charge for an annual subscription, if their aim is to deliver Breeze total savings of 25% versus current costs?"

- Breeze pays **$300K** a year for a 4-person QA crew doing manual inspection
- The AI model costs **$0** to maintain
- Installation and model training cost **$1M** one-off, paid by Breeze, amortized over **10 years** (ignore cost of capital)
- Breeze's volume and costs stay constant

CANDIDATE

I'll work back from Breeze's target cost. Today Breeze spends $5.4 million on rework plus $300,000 on inspectors, **$5.7 million**. A 25% saving means **$4.275 million**. With

AI, late defects halve, so rework falls to **$2.7 million**, the inspectors aren't needed, and installation adds **$100,000 a year**. **So A-EYE can charge up to about $1.475 million a year.** And fewer delivery delays and happier customers could justify more.

INTERVIEWER · PROTECTING MARKET SHARE

"A competitor is expected to enter with a similarly priced solution. What are some ways A-EYE can protect its market share?"

CANDIDATE

I'd avoid leading with a price cut: both companies' costs are near zero, so it could start a price war. Instead: **retain clients** with long-term contracts and higher switching costs, by integrating with their software, improving the model on their data, and limiting data export; **compete on value** with better performance, service and features; **step up sales and marketing**; consider **partnering with or acquiring** the competitor; and **diversify** into new applications.

INTERVIEWER · OTHER APPLICATIONS

"What are some other areas where A-EYE could apply and market its AI technology?"

CANDIDATE

Because the model learns what 'good' looks like and flags differences, it can go almost anywhere. **Manufacturing defects**: solar panels and batteries, then electronics, automotive, aerospace and defence, energy and consumer goods. **Object identification**: waste sorting, agriculture, food production, medical scans and emissions monitoring, and further out, self-driving cars, augmented reality and smart cities.

INTERVIEWER · RECOMMENDATION

"What is your overall recommendation at this stage?"

CANDIDATE

We recommend pricing the solution at about $1.475 million a year. That still saves Breeze 25% on its defect-related costs, and it doesn't yet count benefits like fewer delivery delays, which could support more. **To defend against the new competitor**, A-EYE should lock in long-term contracts, raise switching costs and keep improving the product, rather than cutting price. **To grow**, it should take the technology to other manufacturing and inspection markets, starting with solar panels and batteries.

Score this case

Use the ticks above and the rubric. 3 = would pass.

Structure 1 2 3 4 5

Clear, tailored framework?

Math 1 2 3 4 5

Correct, clean, said out loud?

Business sense 1 2 3 4 5

Found the insight, said "so what"?

Communication 1 2 3 4 5

Answer-first, clear, confident?

Drive 1 2 3 4 5

Led the case; few hints needed?

Total: — / 25

2 STRENGTHS · 2 THINGS TO FIX

Strength: ... / Fix: ...

OPTIONAL WARM-UP, 5–10 MINUTES

Fit questions

Real interviews often start with 2–3 personal questions before the case. Ask one or two. Good answers last 1–2 minutes and tell a story.

Ask	A good answer...
"Tell me about yourself."	A 1–2 minute story, not a CV list: studies, 1–2 experiences, why consulting, one personal detail that makes them memorable.
"Why consulting?"	Specific reasons tied to their own experience (problem-solving, variety, learning). Shows they know what the job really is.
"Why our firm?"	Names something specific: people they've met, a program, values. Not just "prestige".
"Give me an example of leadership."	A real situation, what THEY did and why, the result, and what they learned. Admits a shortcoming.
"What are your three biggest weaknesses?"	Real weaknesses, not humble-brags, each with what they're doing to improve.
"Tell me about a time you challenged yourself."	A clear challenge, the steps they took, the outcome.
"Why should we give you an offer?"	2–3 confident reasons linked to what consultants actually do.
"Why aren't you working in the field of your major?"	A positive story about moving toward consulting, not running away from their major.

Red flags in fit answers

- Over 2 minutes long
- Sounds memorized word for word
- Lists facts from the CV with no story
- Can't say why consulting specifically